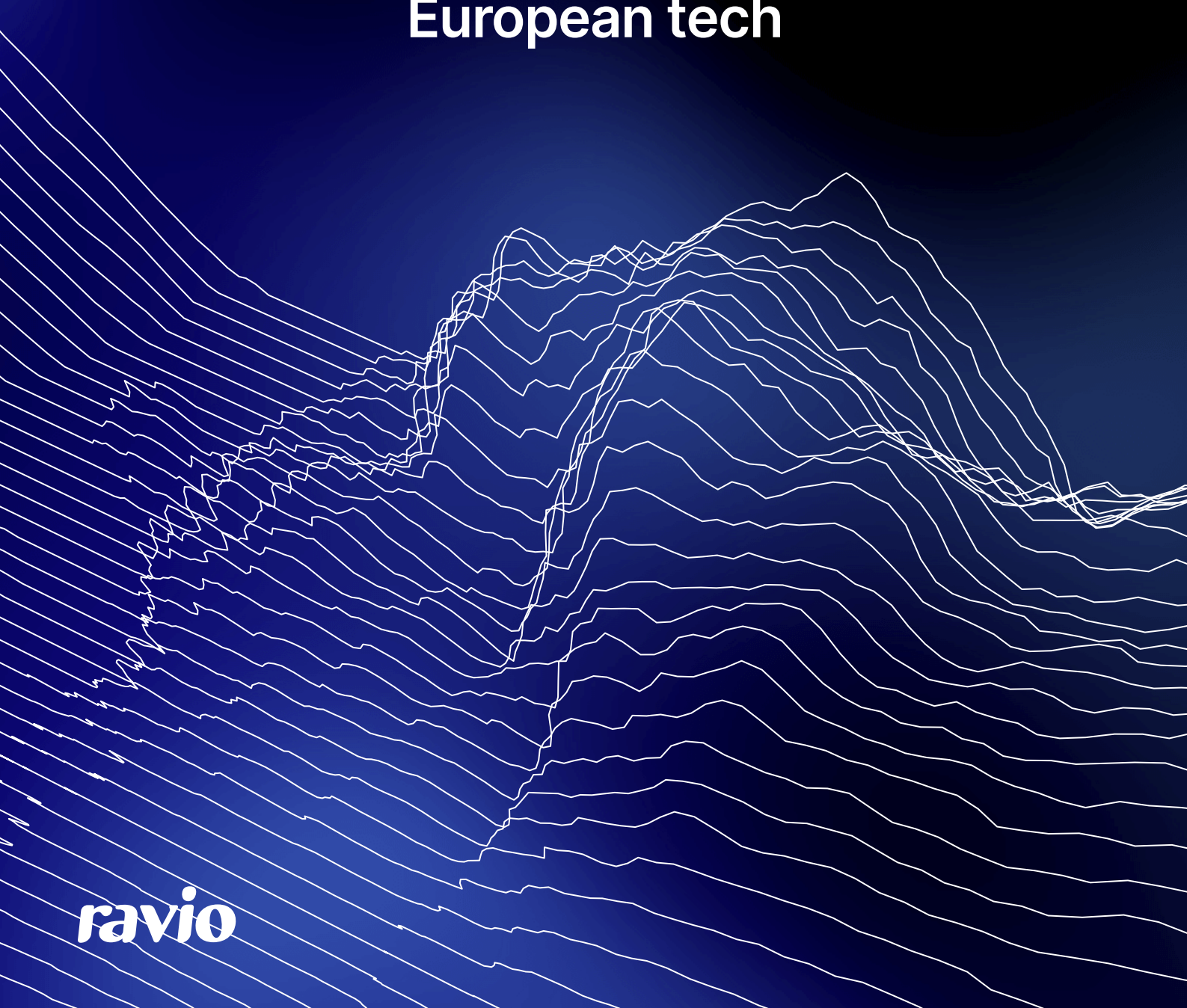


Compensation trends 2026

The state of hiring and pay in
European tech



ravio

Contents

Executive summary

Executive summary	3
A snapshot of our key findings	4

Salary benchmark index

Software Engineering salary index	6
Product Management salary index	10
Direct Sales salary index	14

Total Rewards

Employee benefits	18
Flexible working	19
Equity eligibility	21

Salary increases

Median salary increases	23
Salary increase eligibility	27

Promotions

Promotion rates	30
Promotion-based salary increases	32

Hiring

Hiring rates	36
Analysis: The AI talent gold rush	40

Retention

Attrition rates	43
Average employee tenure	47
Analysis: Do market leading salaries increase employee retention?	49

Pay equity

Gender pay gap	52
Representation of women in leadership	53

Afterword

Methodology and definition guide	55
About Ravio	56

Executive summary

European tech finds its balance – just as the ground begins to shift

After several years of volatility in hiring, compensation, and workforce planning, European tech has achieved stability.

Salary increases have held steady at 5.0% for two consecutive years (page 23). Hiring rates sit at 29%, down marginally from 29% (page 36). Attrition has settled at 17% (page 43). For employers and employees alike who have navigated the recent years of shifts from rapid growth to layoffs, this more sustainable footing is welcome.

However, transformative forces are emerging that challenge this stability: 2025 marks the year that AI adoption has accelerated from experimentation to implementation.

Our data shows 88% year-on-year growth in AI/ML hiring, with these roles commanding significant market premiums (page 40). This surge is backed by capital – venture funding has rebounded, with 53% going to AI-related startups.

The impact of AI adoption is starting to ripple throughout the workforce. Operations functions show early signs of disruption – with the lowest salary increase eligibility (14%) and highest attrition (21%) across all functions.

Whilst AI startups are flush with cash, the same isn't true across the board. Early-stage companies have seen salary increases fall by 53%, hiring rates by 35%, and promotion rates by 24% – the steepest drops across all funding stages in all cases. It seems the majority of early startups are prioritising runway extension in a more selective funding environment, whilst also embracing a leaner, more intentional hiring strategy.

For compensation leaders planning 2026 budgets, these forces create real challenges. How do you maintain compensation structures whilst competing for transformative AI talent (and with tight budgets, in some cases)?

The approaching EU Pay Transparency Directive raises the stakes. Today's reactive decisions – premiums for AI talent or exceptions for critical hires – become tomorrow's compliance challenges. With little progress on the gender pay gap (page X), many organisations are storing up future problems.

European tech has worked to find its balance.

Now comes the challenge of maintaining it, whilst the foundations shift beneath us.

Ravio report

Behind closed doors: Compensation reviews

Pay reviews look simple on paper. In reality, they're messy, political, and human. Our research reveals how 140 global companies handle the complexity.

[Access now](#)



A snapshot of our key findings

-1.4%

Hiring rate ↘

Hiring across European tech is down only marginally from 29.0% last year.

-3.3%

Attrition rate ↘

Attrition is returning to more normal levels after the pandemic-era highs, suggesting a stabilising job market and employee focus on job security.

+/-0.0%

Salary increases →

Median salary increases show no change across European tech – stabilising at 5.0% for the second consecutive year.

-53%

Salary increases at early-stage ↘

Median salary increases at early-stage companies have collapsed from 6.5% last year to 3.0%, as early startups prioritise extending runway over pay progression.

-39%

Salary increases in Operations ↘

Only 14% of employees in Operations roles received an in-role increase, compared to 23% overall – combined with high attrition rates and low salary increases, suggesting a function in flux.

23%

Gender pay gap

The (unadjusted) gender pay gap stands at 23% across European tech – with variance per location. 40% of the tech workforce are women, and just 21% of Executives.

+88%

AI/ML hiring ↗

Year-on-year growth in AI/ML hiring is up by 88%, with AI talent now also commanding 3-17% pay premiums across all seniority levels.

-5.2%

Terminations for market-leading ↘

The share of employee departures for those paid above market (55th percentile+) is 5.2% less than those at or below market – showing competitive pay significantly improves retention.

Salary benchmark index

Firstly, let's take a look at what a market competitive salary looks like in 2025.

In this section we'll see how market median salaries have changed this year in three core job functions: Software Engineering, Product Management, and Direct Sales, across core European tech markets.

Median salaries, of course, differ widely based on seniority, so we've included Ravio benchmarks for these functions at two different job levels to give more of an indicator of what's

happening in terms of market pricing:

- P3 Established Professional – has in-depth knowledge of their discipline, works independently with minimal guidance, and has a moderate impact on the success of their discipline.
- M3 Senior Manager – provides leadership to other managers, and is accountable for the results of a team.

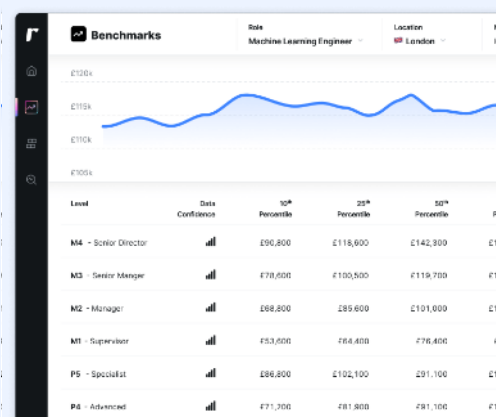
And salaries differ by location too, so we've also included our benchmarks for a range of European tech markets.

About Ravio's salary benchmarking data

Ravio's salary benchmarks are drawn from direct HRIS integrations, with 350,000+ real-time data points across 1,500+ companies. Unlike static salary surveys, this means the benchmarks are continuously refreshed and always reflect current market conditions.

Every benchmark is verified by our team of benchmarking experts, with roles automatically matched to Ravio's standardised levelling framework to ensure like-for-like comparisons across job roles and levels.

[1 month free trial of Ravio](#)



“For companies expanding internationally, it's about being intentional: know the local market with tools like Ravio, decide whether you'll anchor to HQ or adapt locally, then layer in cost-of-living adjustments. Don't forget that equity and benefits carry very different weight across European markets – what motivates talent in Stockholm may not resonate in Barcelona.”

Jay Anna Harris-Theis • VP People

earlybird

Software Engineering salary index

Summary of trends

Overall, median salaries for Software Engineers have increased modestly across Europe this year, with consistent growth at P3 level but more variance at M3 level.



P3 Software Engineer median salaries increased modestly across all countries and funding stages.



The UK maintains the highest median salaries for both P3 and M3 Software Engineers, while Spain pays the lowest.



M3 salary growth diverged by geography: UK and Netherlands nearly flat, while France, Spain and Sweden showed stronger increases.

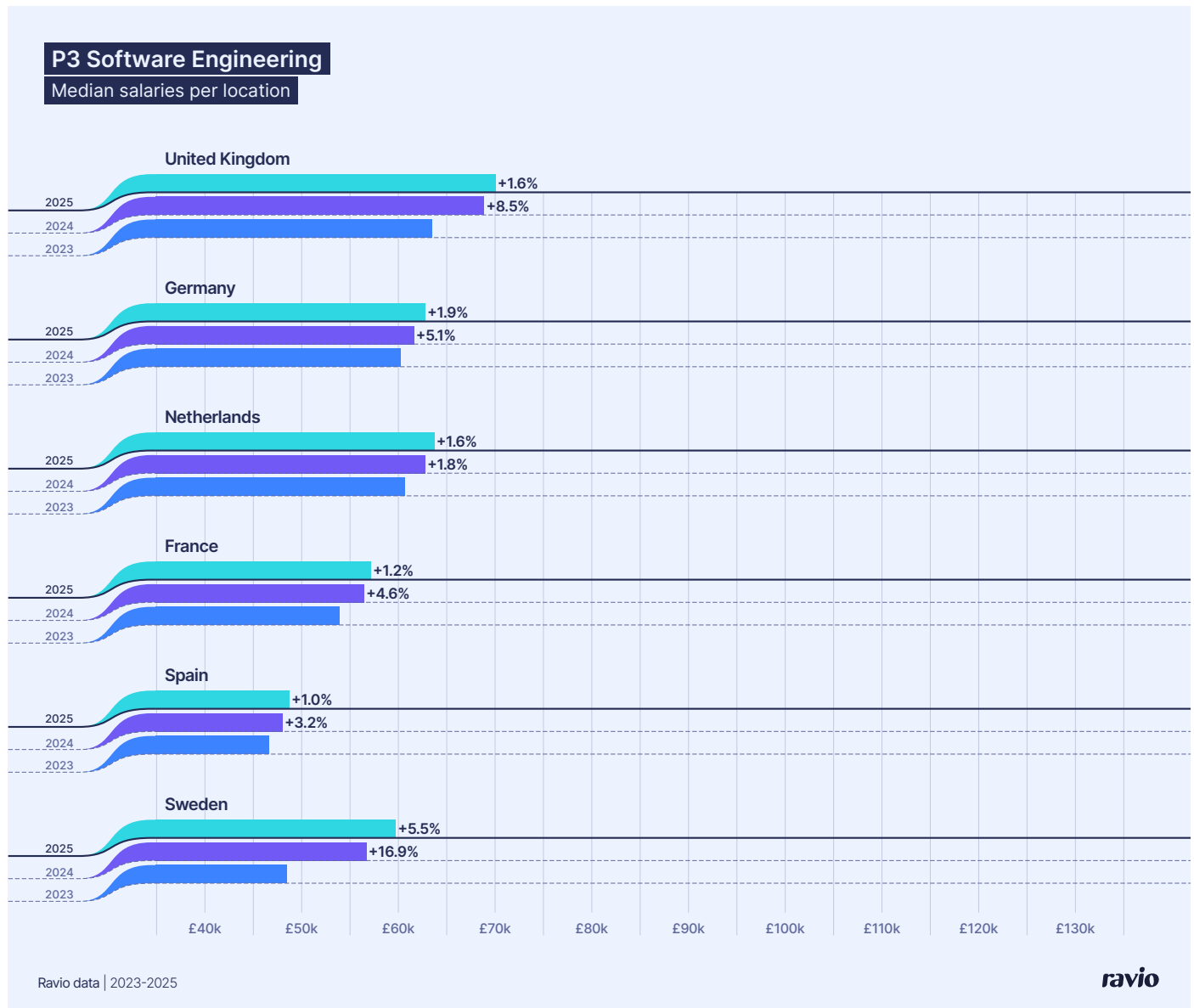


Sweden continues to see particularly strong salary growth at both P3 and M3 levels.



Funding stage premiums remain stable, with late-stage companies paying ~15% more at P3 level and ~31% more at M3 level than early-stage.

Median salaries per location



Median salaries for P3 Software Engineers increased across all European markets in 2025, though at a notably slower pace than the previous year, suggesting salaries for Software Engineers could be stagnating.

The UK, which saw 8.5% growth in 2023-24, recorded just 1.6% growth this year. Similar patterns emerged across other markets, with most countries showing modest increases in the 1-2% range. Sweden is the exception to this trend, with a continued strong growth in median salary as the tech ecosystem in Sweden.



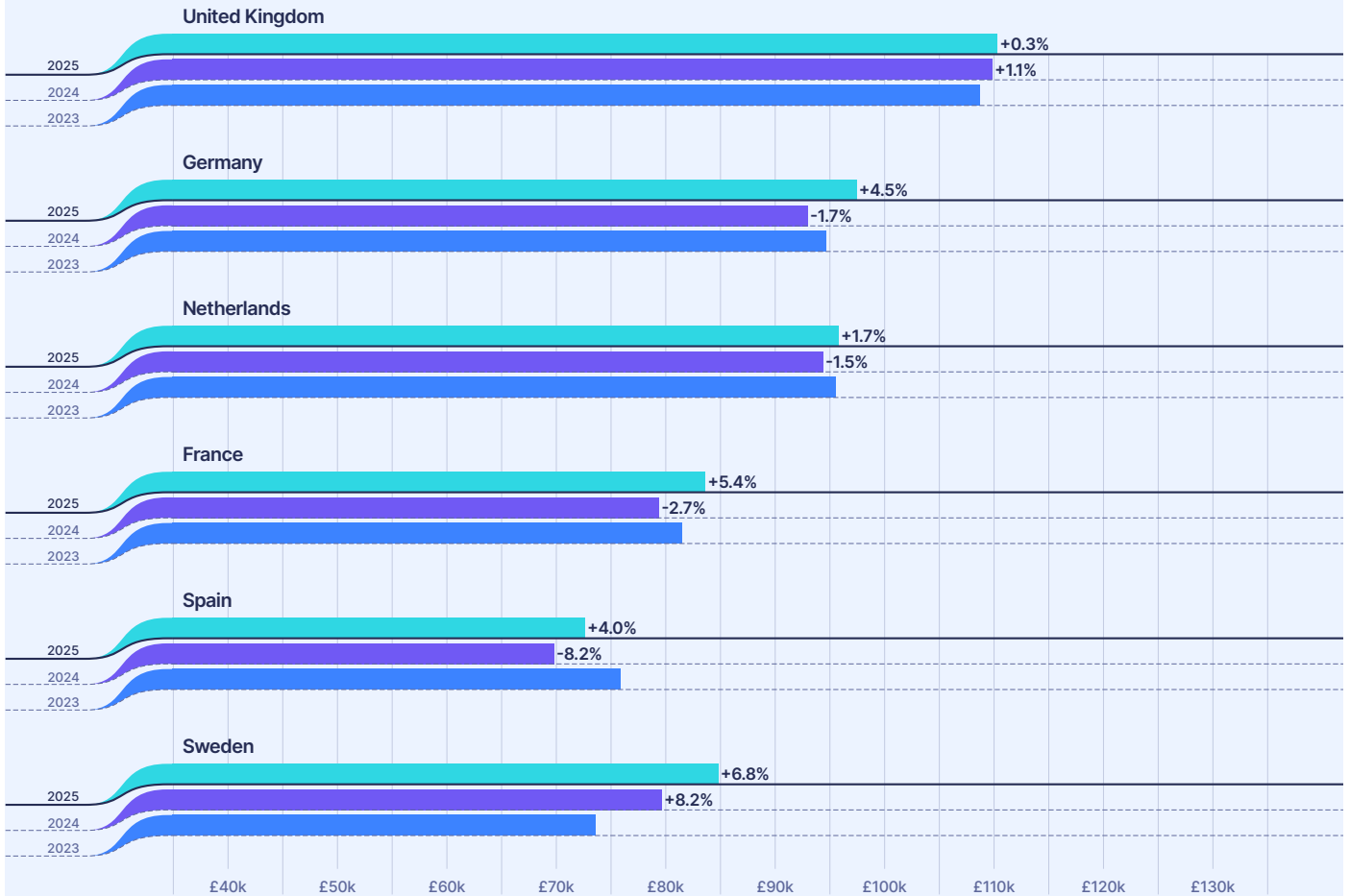
“The cost advantages of Engineering hubs in lower-cost countries like Poland or Romania are still attractive. But we’re also seeing an increase in startups keeping hiring local early on, avoiding added complexity of different market rates, employment laws, and cultural expectations.”

Andrew Duncan • Talent Director

atomico°

M3 Software Engineering

Median salaries per location



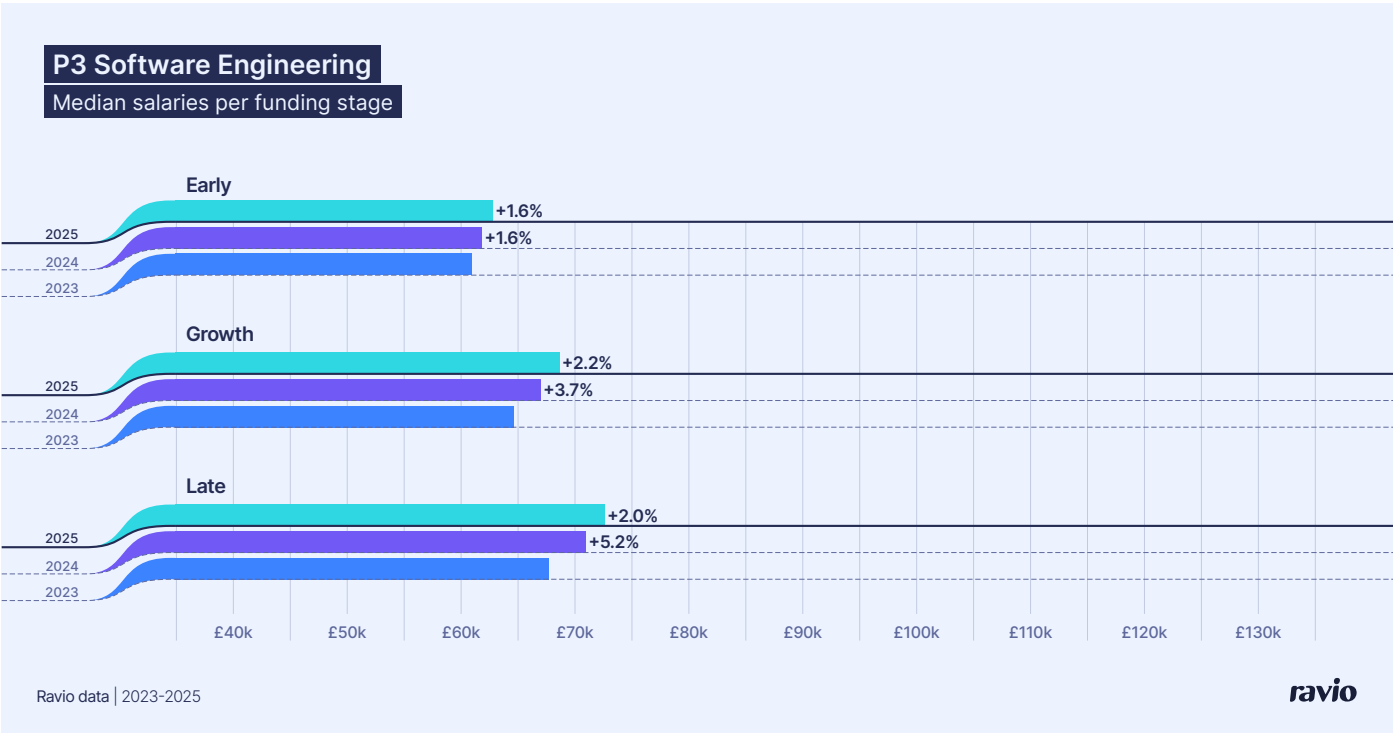
Ravio data | 2023-2025

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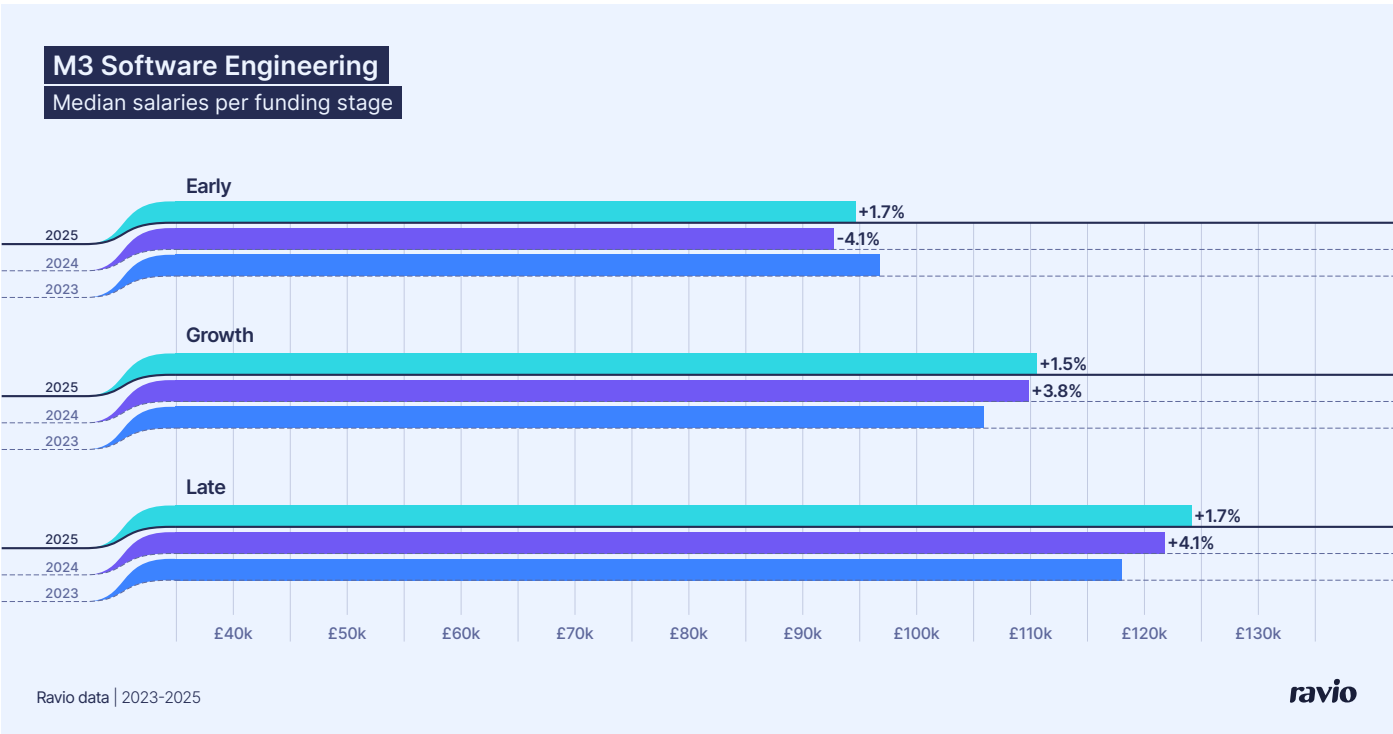
The M3 level reveals a different pattern. While the UK and Netherlands recorded minimal growth in median salary (0.3% and 1.7% respectively), France, Spain, and Sweden showed stronger increases – 5.4%, 4.0%, and 6.8% respectively. The gap between highest and lowest paying markets is narrowing, with traditionally lower-paying markets growing engineering management salaries at several times the rate of the established high-paying tech markets.

The stronger growth in M3 salaries in France, Spain, and Sweden could reflect these tech ecosystems maturing and requiring more senior engineering leadership, or a lower supply of experienced engineering managers in these markets driving more competitive salaries.

Median salaries per funding stage



Median salaries for P3 Software Engineers increased modestly across all startup funding stages in 2025. Early-stage companies saw 1.6% growth, while growth and late-stage companies recorded 2.2% and 2.0% increases respectively – a consistent pattern with minimal variation between stages, and maintaining the typical difference in median salary as companies scale.



The M3 level shows similarly modest increases across all stages: 1.7% for early-stage, 1.5% for growth-stage, and 1.7% for late-stage companies. This uniform growth contrasts with previous years when different funding stages often showed more varied patterns.

Product Management salary index

Summary of trends

Overall, median salaries for Product Managers have increased uniformly across European tech this year, with consistent growth at both P3 and M3 levels.



P3 Product Manager median salaries increased across all countries and funding stages, but with growth slowing slightly compared to last year.



Unlike Software Engineering, Product Management shows uniform growth patterns across all markets, with M3 salaries returning to positive growth after declines in 2024.

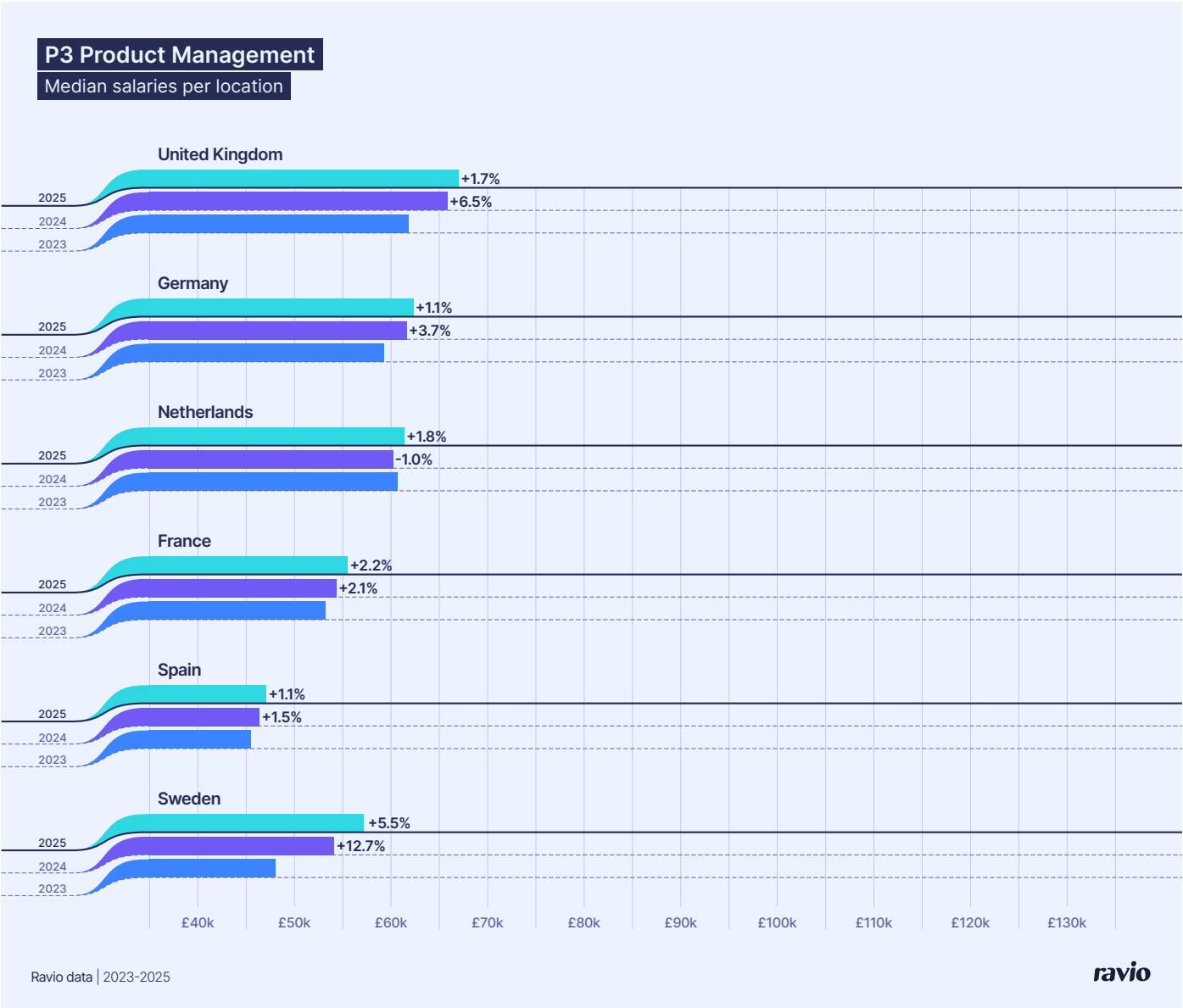


The UK continues to offer the highest median salaries for both P3 and M3 Product Managers.



Median salaries have increased the most in Sweden at both levels, continuing exceptional salary growth seen in this location last year.

Median salaries per location

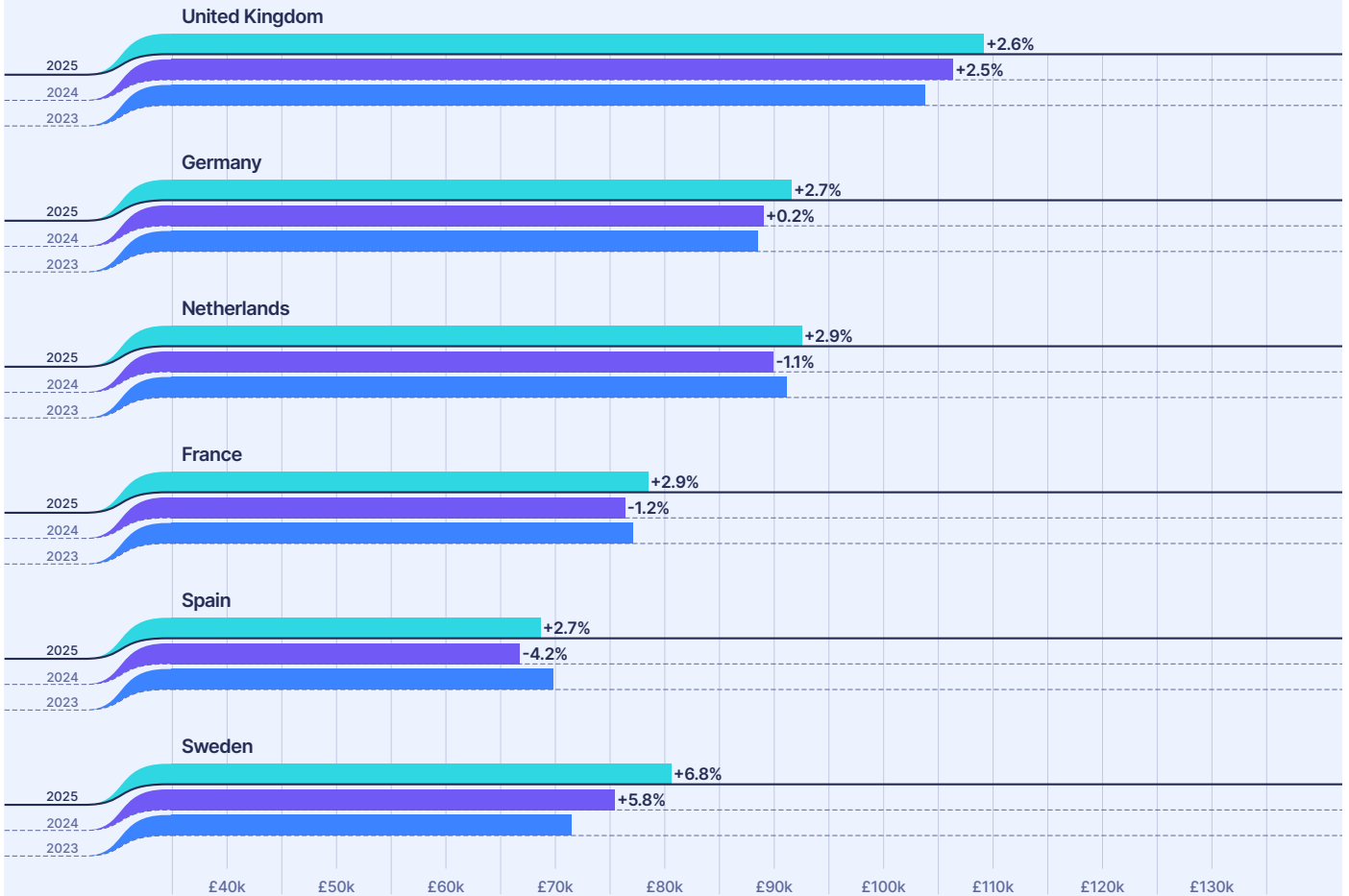


Median salaries for P3 Product Managers increased modestly across all European markets in 2025, with growth rates clustering between 1-2%.

The UK is particularly notable – having seen 6.5% growth in 2023-24 and now just 1.7% growth this year. Sweden again stands out with 5.5% growth, continuing its strong trajectory in becoming an established tech ecosystem after 12.7% growth the previous year.

M3 Product Management

Median salaries per location



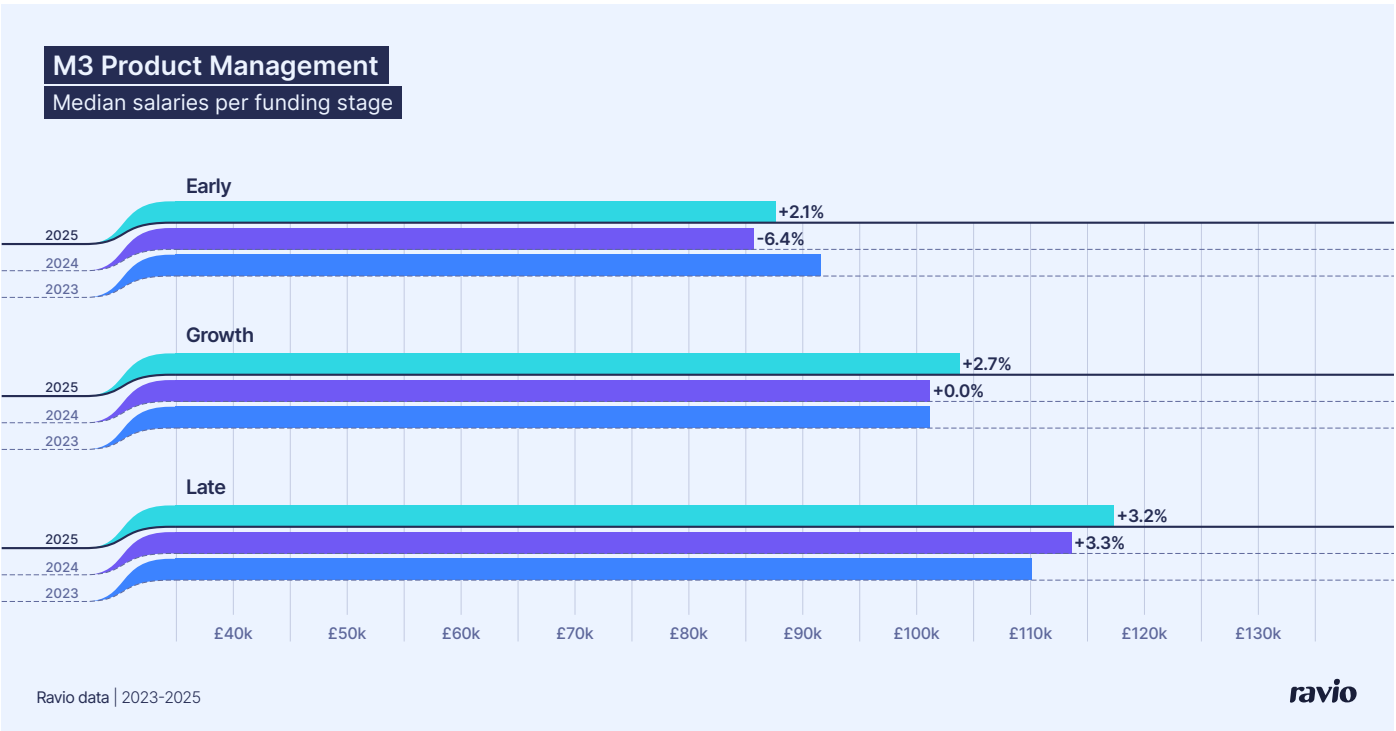
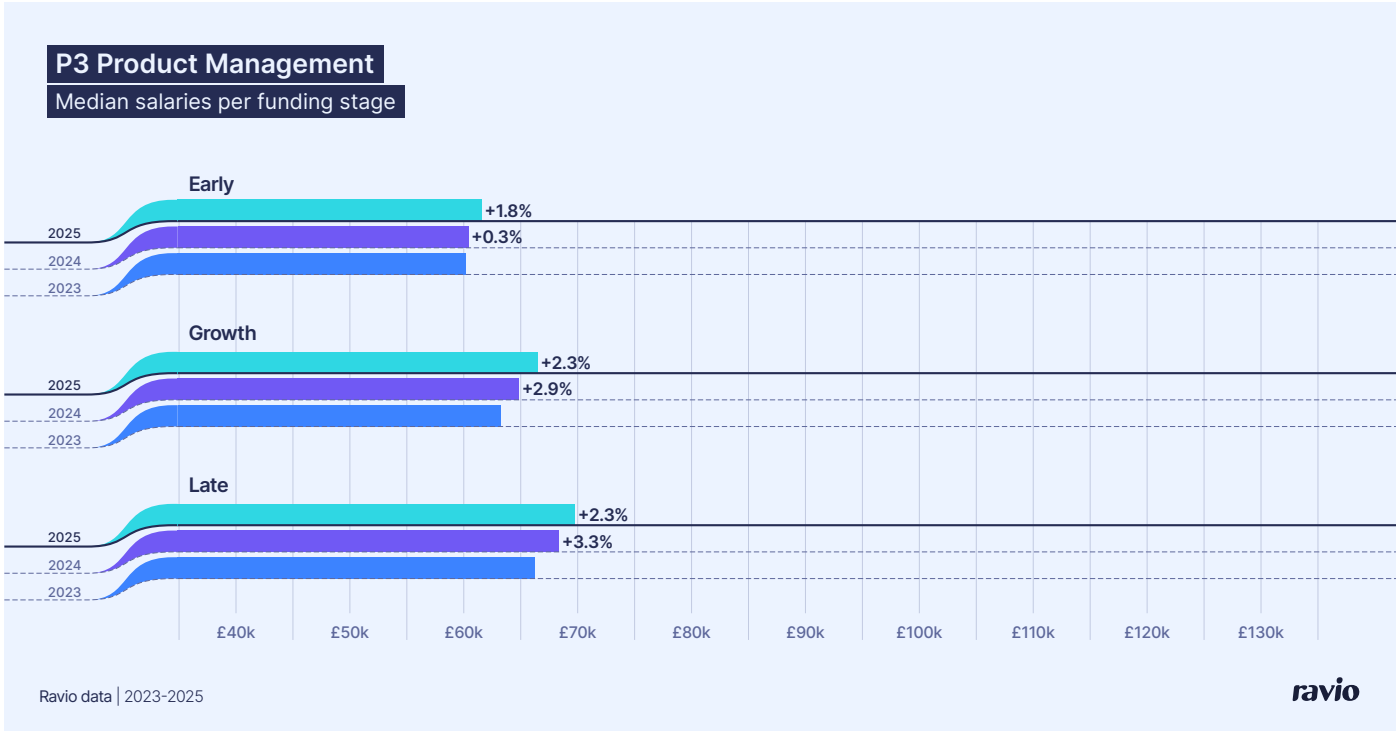
Ravio data | 2023-2025

ravio

There's a similar story at the M3 level. All countries recorded increases between 2.6-2.9%, with only Sweden higher at 6.8%. This marks a recovery from 2024 when the Netherlands, France and Spain all experienced declines in median market salary for M3 Product Managers.

Unlike the divergent patterns seen in Software Engineering, where lower-paying markets are catching up, Product Management salaries are moving in lockstep across European markets.

Median salaries per funding stage



Median salaries for Product Managers have shown consistent growth across all funding stages in the past year. P3 roles saw increases of 1.8-2.3% across early, growth and late-stage companies. M3 roles showed slightly stronger but equally uniform growth of 2.1-3.2%.

This stability across funding stages continues the pattern from previous years, with late-stage companies maintaining their established premium – paying 14% more at P3 level and 34% more at M3 level than early-stage companies.

Direct Sales salary index

Summary of trends

Overall, median salaries for Direct Sales professionals increased across all European markets, marking a full recovery after widespread declines in 2024.



P3 Direct Sales median salaries increased across all countries, recovering from mixed performance last year when several markets saw declines.



M3 Direct Sales salaries returned to growth across all markets, completely reversing last year when most countries experienced decreases.

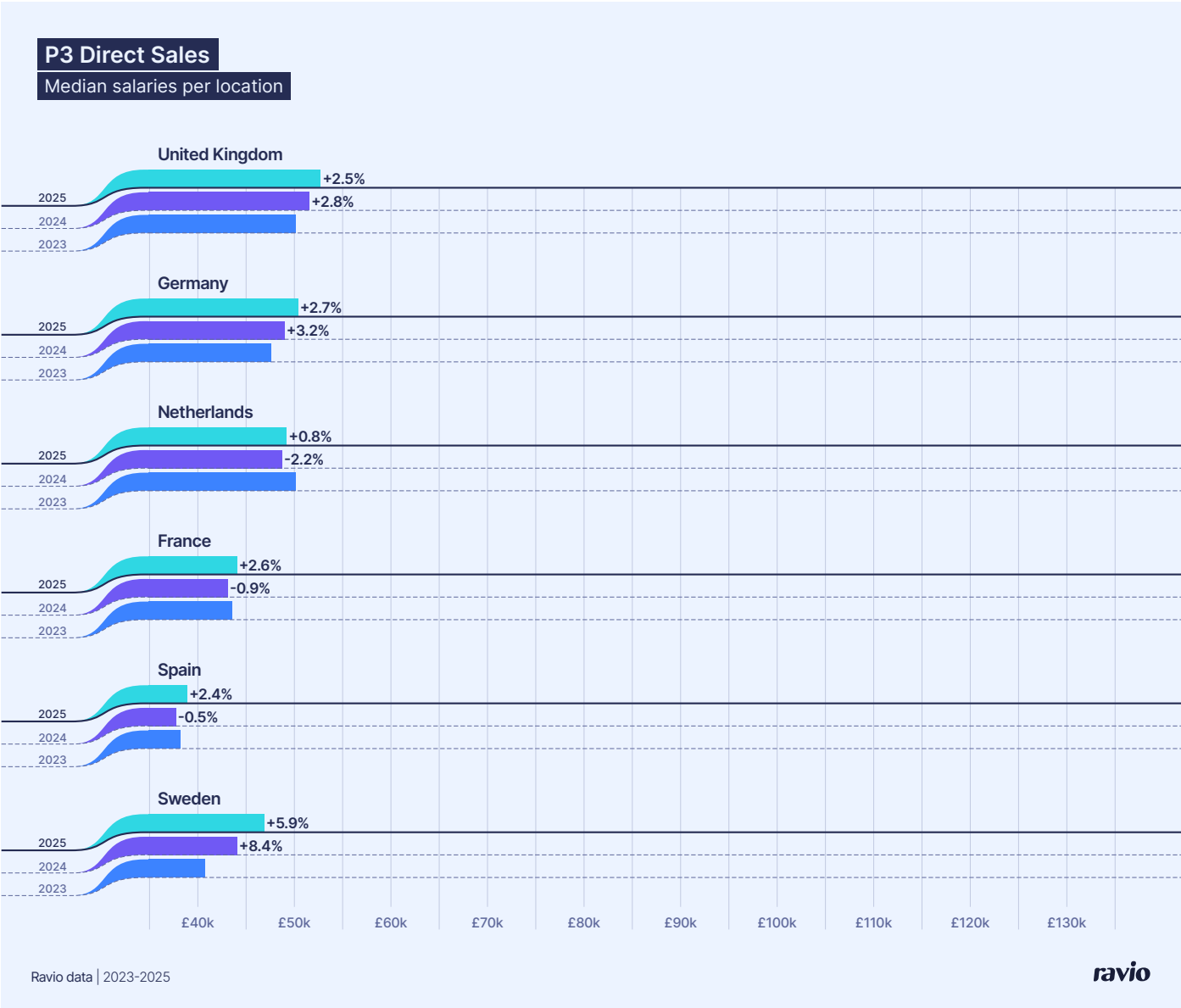


The UK maintains the highest median salaries for both P3 and M3 Direct Sales roles, while Spain offers the lowest.



Sweden shows the strongest growth, continuing its upward trajectory from previous years in line with trends for Software Engineering and Product Management.

Median salaries per location

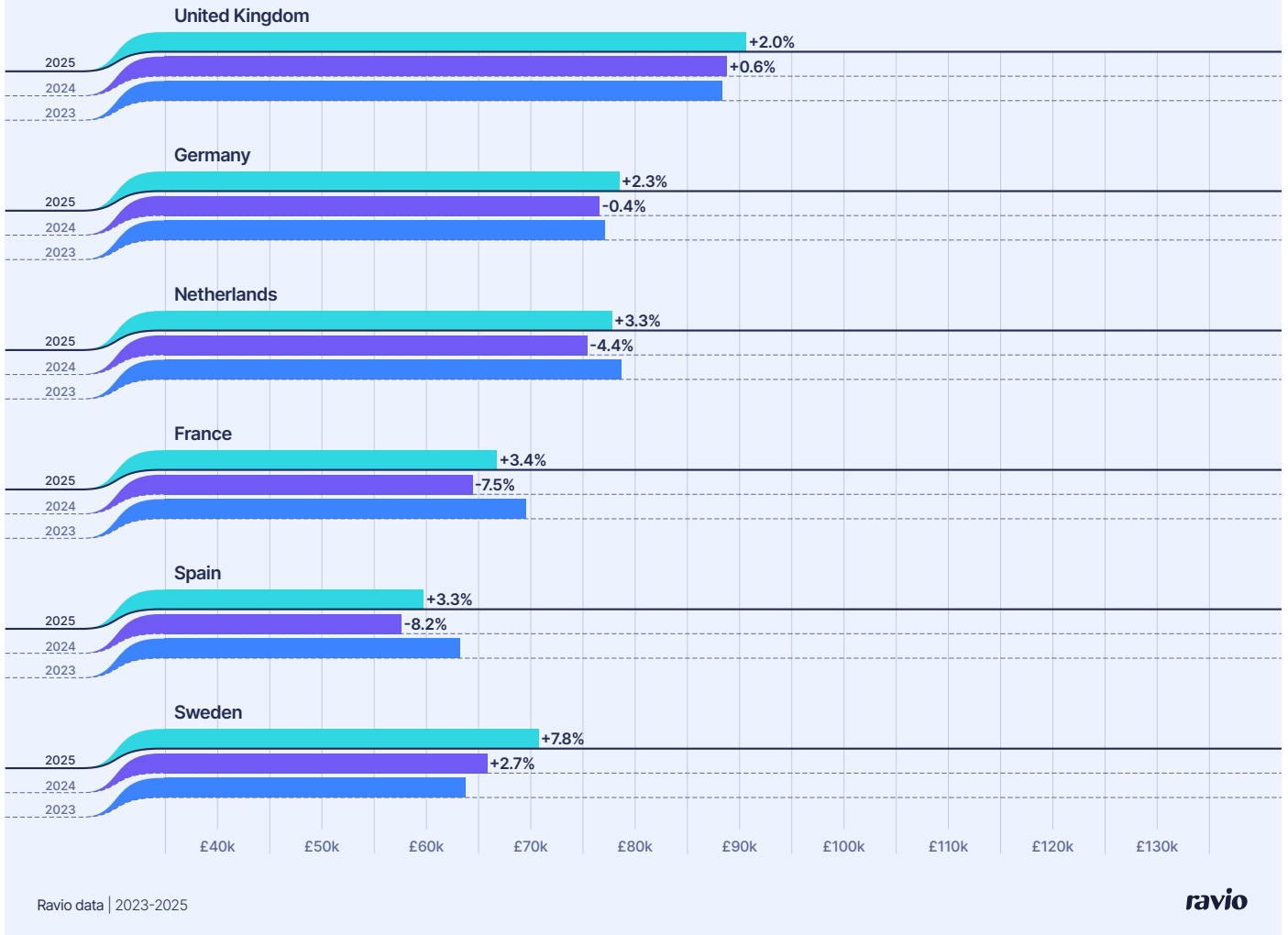


Median salaries for P3 Direct Sales professionals have increased across all European markets in 2025, with most countries showing growth between 2-3%. This represents a full recovery from 2024 when the Netherlands, France and Spain all saw declines in median salary.

Sweden continues to lead with the strongest growth. Meanwhile, the Netherlands lags with the most modest increase at the P3 level – and we’ve seen less growth in median salaries in the Netherlands across Software Engineering and Product Management too.

M3 Direct Sales

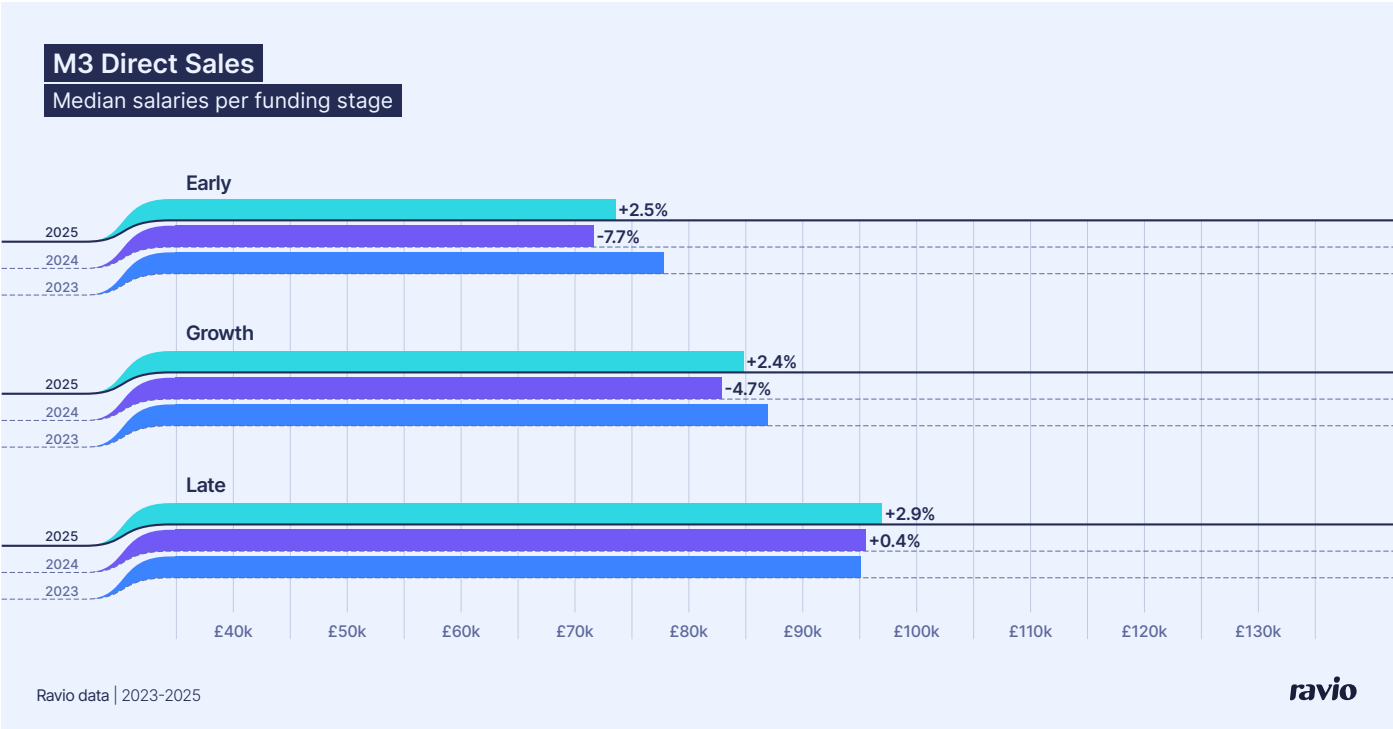
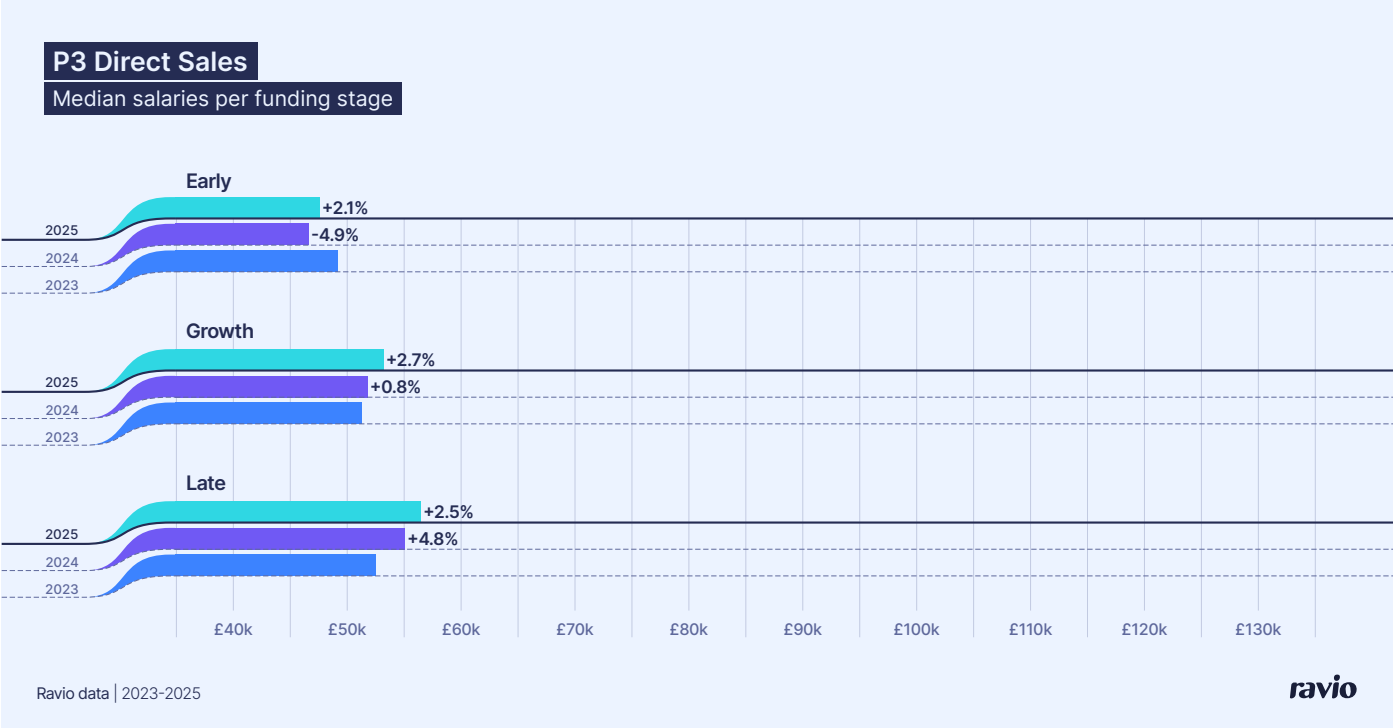
Median salaries per location



At the M3 level all markets have seen growth in median salaries of between 2-8%, again reversing the previous year when four out of six countries experienced salary declines.

France and Spain, which saw the steepest drops in 2024 (-7.5% and -8.2% respectively), both returned to positive growth of around 3.3%.

Median salaries per funding stage



Median salaries for Direct Sales professionals have seen consistent growth across all funding stages in 2025, with both P3 and M3 roles increasing by 2-3%.

This marks a significant turnaround from 2024, particularly at M3 level where early and growth-stage companies had experienced substantial declines (-7.7% and -4.7% respectively).

The uniform positive growth across all stages suggests the Direct Sales compensation market has stabilised after a period of correction last year.

Total Rewards

Employee benefits

Salaries, of course, aren't the only factor in competitive compensation. When it comes to employee benefits, there's a huge amount of variance in what tech companies typically offer across different markets – largely driven by differences in employment law, statutory benefits, and working culture.

Looking at Ravio's benefits benchmarking data for the most common overall 'buckets' of employee benefits, we can see that Learning & Development emerges as the universal benefit across European tech, with 83-97% of companies offering L&D support regardless of location. This consistency suggests that investing in employee growth is a fundamental expectation in tech compensation packages, transcending local market differences.

Beyond this common ground, offerings vary by market – often driven by local employment law and differences in working culture.

For instance, the UK stands out for parental leave, with 79% of companies offering additional maternity and non-birthing parent leave. However, this likely reflects the UK's relatively limited statutory parental leave compared to wider European standards. Similarly, 100% of French companies offer some form of health insurance, but this is likely driven by mandatory supplementary health coverage requirements ("mutuelle").

Sweden leads in wellbeing support, with 94% of employers offering some form of wellness benefit, reflecting the cultural Nordic emphasis on work-life balance and employee welfare.

These patterns highlight how benefits strategies must adapt to local contexts – companies tend to offer additional support where statutory provisions are weaker, while focusing on universal differentiators like L&D and wellbeing across all markets.

Employee benefits types offered						
Per location						
	GB	DE	NL	FR	SE	ES
Health insurance	69%	26%	14%	100%	71%	80%
Wellbeing support	79%	75%	63%	44%	47%	94%
Learning & Development	89%	97%	95%	86%	85%	83%
Additional* holiday days	98%	98%	99%	14%	84%	77%
Additional* maternity leave	79%	4%	8%	8%	3%	32%
Additional* non-birthing parental leave	79%	19%	37%	14%	4%	30%
Family support	26%	21%	5%	17%	28%	10%

*above minimum statutory requirements.

Ravio data | 2025

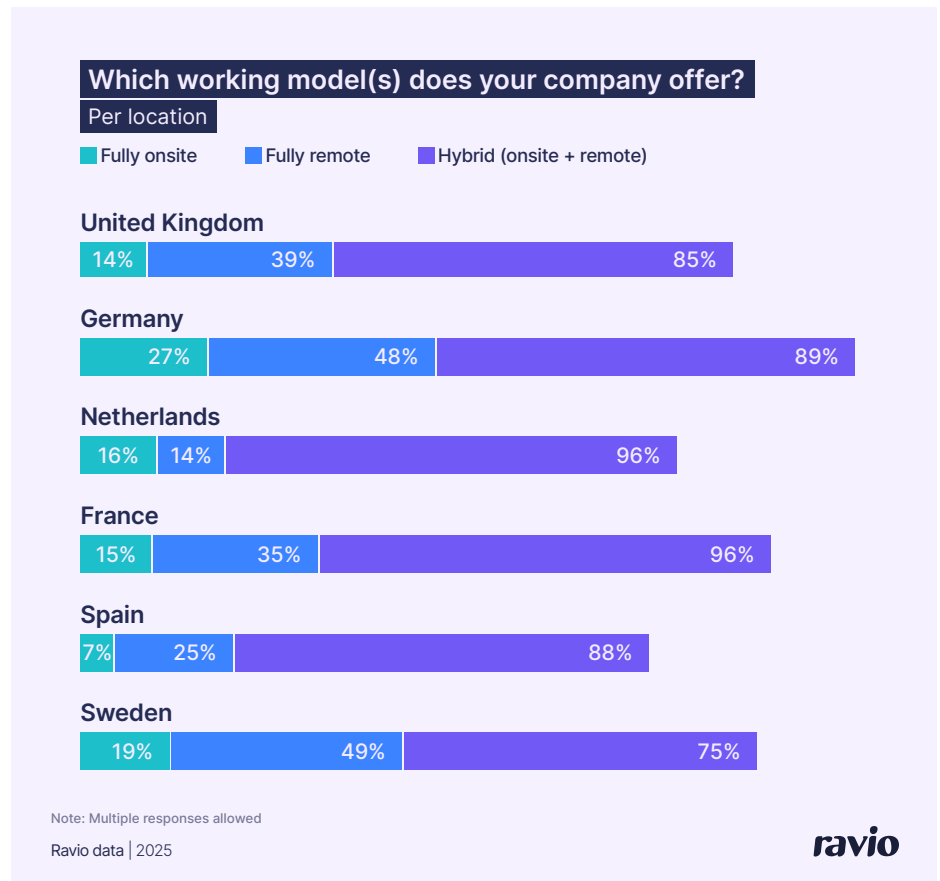
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Flexible working

Earlier this year work-life balance was identified as the most important factor for employees of all ages when evaluating their current job and future employment plans in Randstad's annual Work Monitor report – surpassing pay for the first time in the report's 22 year history.

It's clear that flexibility and work-life balance continue to be a key factor in a competitive total compensation package and working culture.

Looking at Ravio's benefits benchmarks, when respondents were asked which working model(s) they offer, hybrid working is firmly the dominant model across European tech. Many companies offer different working models for different teams and roles, hence the totals being >100%.



“We’re seeing a trend of startup founders exploring predominantly in-office working again. The collaboration and efficiency gains of local, in-office teams are attractive. But they’re being thoughtful about it, seeking advice on how much and which talent they’d sacrifice if they mandated 4 or 5 days in the office.”

Andrew Duncan • Talent Director

atomico°

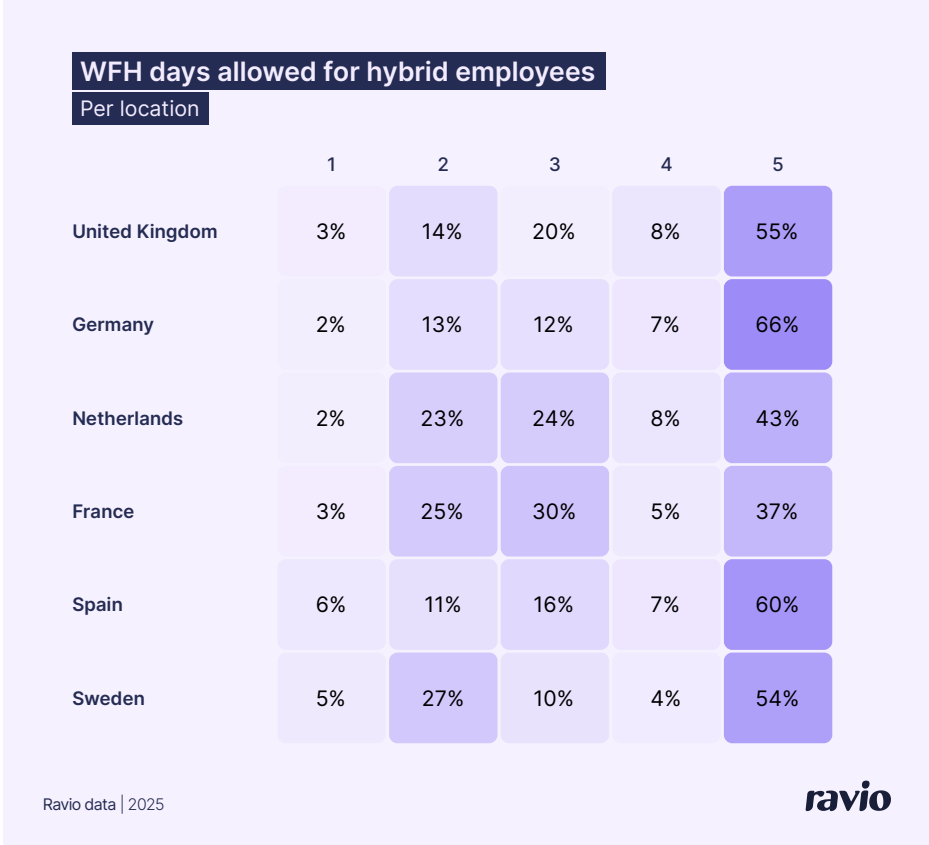
Interestingly, many "hybrid" policies offer maximum flexibility – the majority of companies in most markets allow employees the choice to work from home 5 days per week.

Germany leads this trend with 66% of companies offering full flexibility within their hybrid model, followed by Spain (60%) and UK (55%). This suggests that for many, "hybrid" has evolved to mean "work from where suits you best" rather than mandating specific office days.

France and the Netherlands show a different pattern, with companies favoring more structured arrangements. In France, 55% of companies limit WFH to 2-3 days per week, while in the Netherlands it's 47%.

The Netherlands also has the fewest offering fully remote positions, at just 14% of companies – whereas in markets like Germany and Sweden almost half of tech employers are offering fully remote positions within their team.

This may reflect different cultural attitudes toward workplace collaboration or management styles, with some markets more likely to embrace full flexibility while others prefer to maintain some connection to a physical office location.



“After the cultural resets of 2022, most companies are now finding a middle ground between office mandates, employee autonomy, and performance expectations. It's no longer about choosing one over the others.”

Rob Green • Founder of Darwin Total Rewards



Equity eligibility

Equity remains a crucial component of total compensation in tech, offering employees a long-term stake in company success and helping startups compete for talent when cash resources are limited.

Overall, we see a high degree of variability in how companies approach equity compensation – even for companies at similar stages of maturity or startup funding.

However, one theme is that most markets are moving toward broader equity participation for employees, rather than a perk reserved for leadership (UK, Germany, Netherlands, Spain).

The UK leads on this equity democratisation, with companies offering equity to all employees increasing by 16% to reach 58% – the highest across all markets. Simultaneously, UK companies offering no equity at all dropped by 40%, suggesting a strategic shift toward broader employee ownership.

Meanwhile, France and Sweden bucked the trend, both seeing decreases in all-employee equity (-6.5% and -8.1% respectively). This divergence may reflect these markets' comprehensive social benefits and worker protections reducing equity's importance as a retention tool, as well as the less-favourable tax incentives available to both employers and employees when exercising equity rights.

“Boards and VCs remain firmly focused on dilution, amid a tighter global startup funding environment. So whilst equity-for-all is increasingly common, grant sizes may be under even greater scrutiny.”

Rob Green • Founder of Darwin Total Rewards



“I’m starting to see cracks in the startup equity compensation promise. With IPOs happening later, liquidity drying up, and even success stories like Klarna disappointing employees' expectations, people are questioning whether the equity gamble is worth sacrificing cash compensation. The next generation of talent may demand very different trade-offs.”

Evert Kraav • Senior Compensation Manager at Bolt and Co-founder of Cohorts



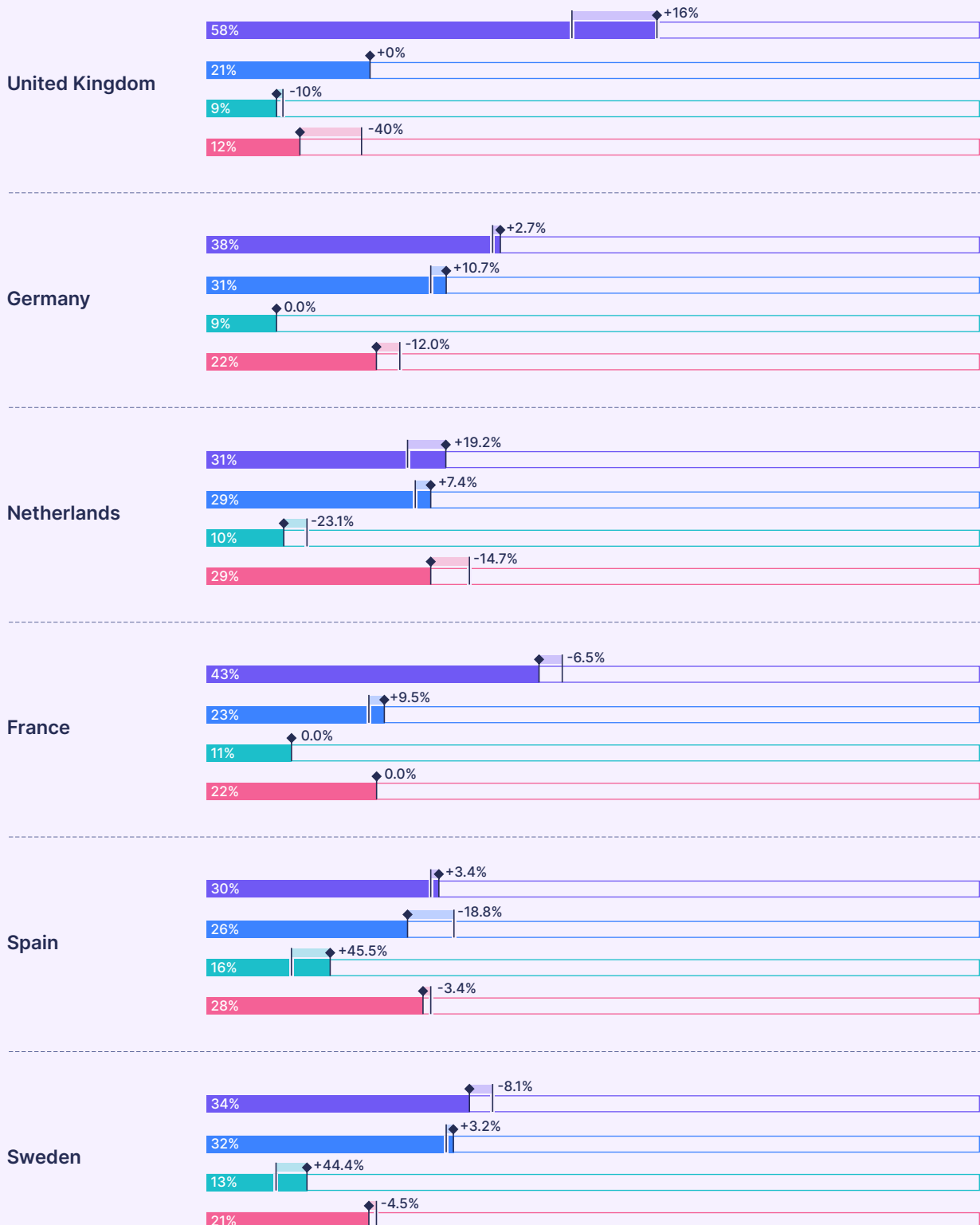
Employees who are granted equity

Per location

◆ This year
| Last year

■ All employees
■ Select roles only

■ Leadership and founders only
■ No employees



Ravio data | 2023-2025

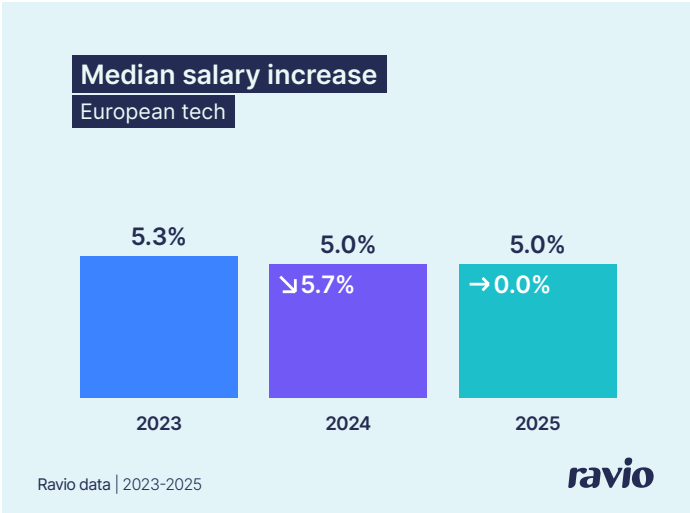
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Salary increases

Median salary increases

Across European tech, the median salary increase in the past year is 5.0% (rolling median, October 2024 to October 2025). This is the median pay rise that employees received in the last 12 months within their existing job role (i.e. from pay adjustments, but not promotions – and noting that not all employees receive a salary increase at all).

Salary increases have stayed consistent, at 5.0% for two consecutive years (2024-2025), following a slight decline from 5.3% in 2023 – suggesting a period of economic stability.



Country	Annual inflation rate August 2025	Annual inflation rate August 2024	Annual inflation rate August 2023
European Union (all)	2.4%	2.4%	5.5%
Germany	0.8%	2.4%	6.5%
France	2.1%	2.0%	5.1%
Netherlands	2.4%	3.3%	5.3%
Spain	2.7%	2.4%	6.3%
Sweden	34%	1.3%	2.1%
United Kingdom	3.8%	3.1%	6.4%

eurostat Aug 2023 – Oct 2025

This stability is reflected in external economic conditions too, with Eurostat reporting a stable inflation rate across the EU this year (2.4% vs 2.4% last year) – though the inflation rate in the UK has risen (3.8% vs 3.1% last year).

“Budgeting for pay reviews has been static at 4-5% over the last 2-3 years. We only see higher budgets when companies discover they've fallen behind competitors, but there's been little appetite for catch-up spending recently. I don't expect this to change until the economy improves and the talent market heats up again.”

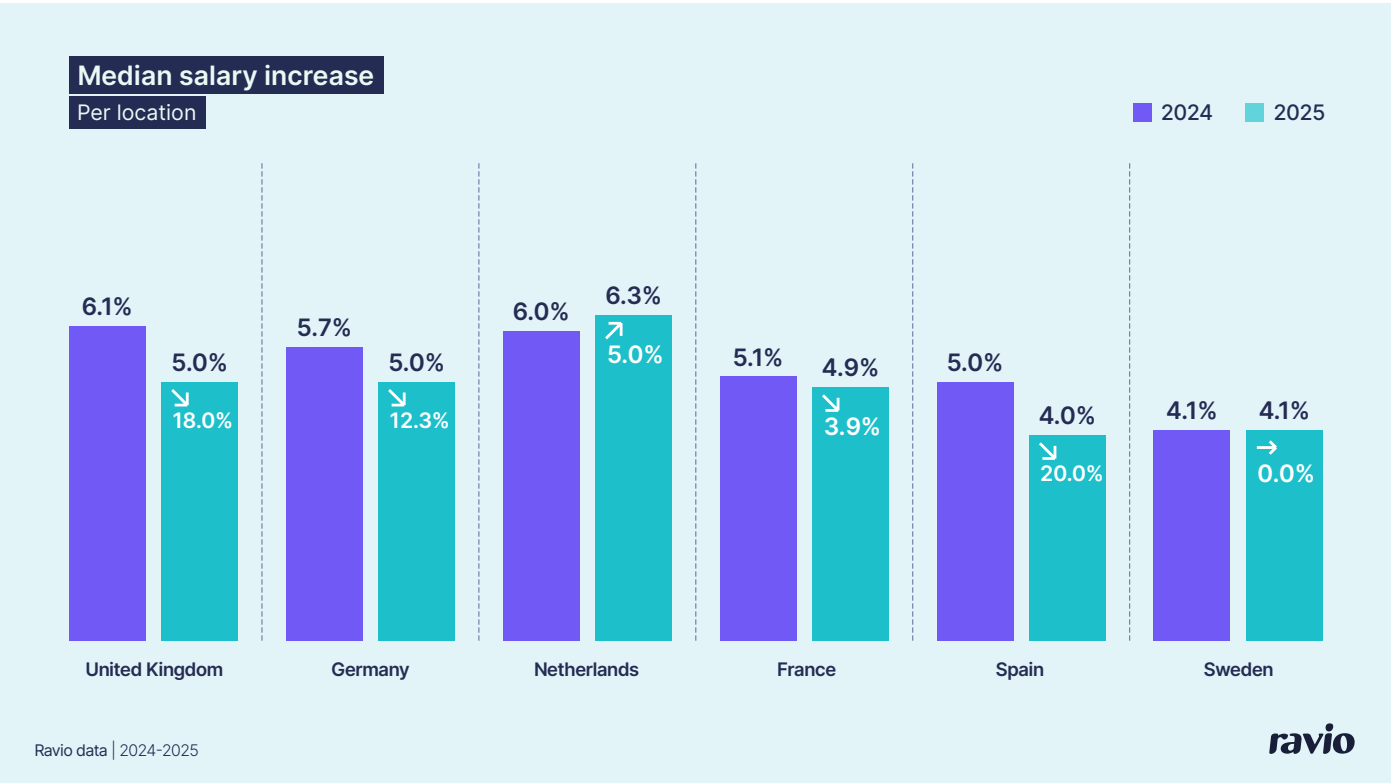
Rob Green • Founder of Darwin Total Rewards



Looking at Ravio's data per location, most European markets saw salary increases cool in 2025, with the UK and Spain experiencing the steepest declines (-18% and -20% respectively). Spain now offers the lowest increases at 4.0%.

Sweden is now the second lowest with a median salary increase of 4.1% for the second consecutive year. Given we've seen overall growth in Sweden's median salaries, this suggests that this is driven by higher salaries for new hires rather than increases for existing employees – which could lead to salary compression issues.

The Netherlands stands out as the only market where average salary increases actually grew, rising from 6.0% to 6.3%. Interestingly, this contrasts with the Netherlands showing the most modest growth in overall market median salary benchmarks earlier in this report – suggesting Dutch companies may be prioritising retention of existing employees over increasing the market competitiveness of new hire salaries.



“While 5% increases are working well for Western Europe, companies can't apply one rate across all markets. In Eastern Europe we're seeing 6-8% increases, sometimes double that in markets like Ukraine where inflation remains very high. Each location operates independently with its own economy and expectations – benchmark them separately and distribute your budget fairly across these differences.”

Evert Kraav • Senior Compensation Manager at Bolt and Co-founder of Cohorts

COHORTS

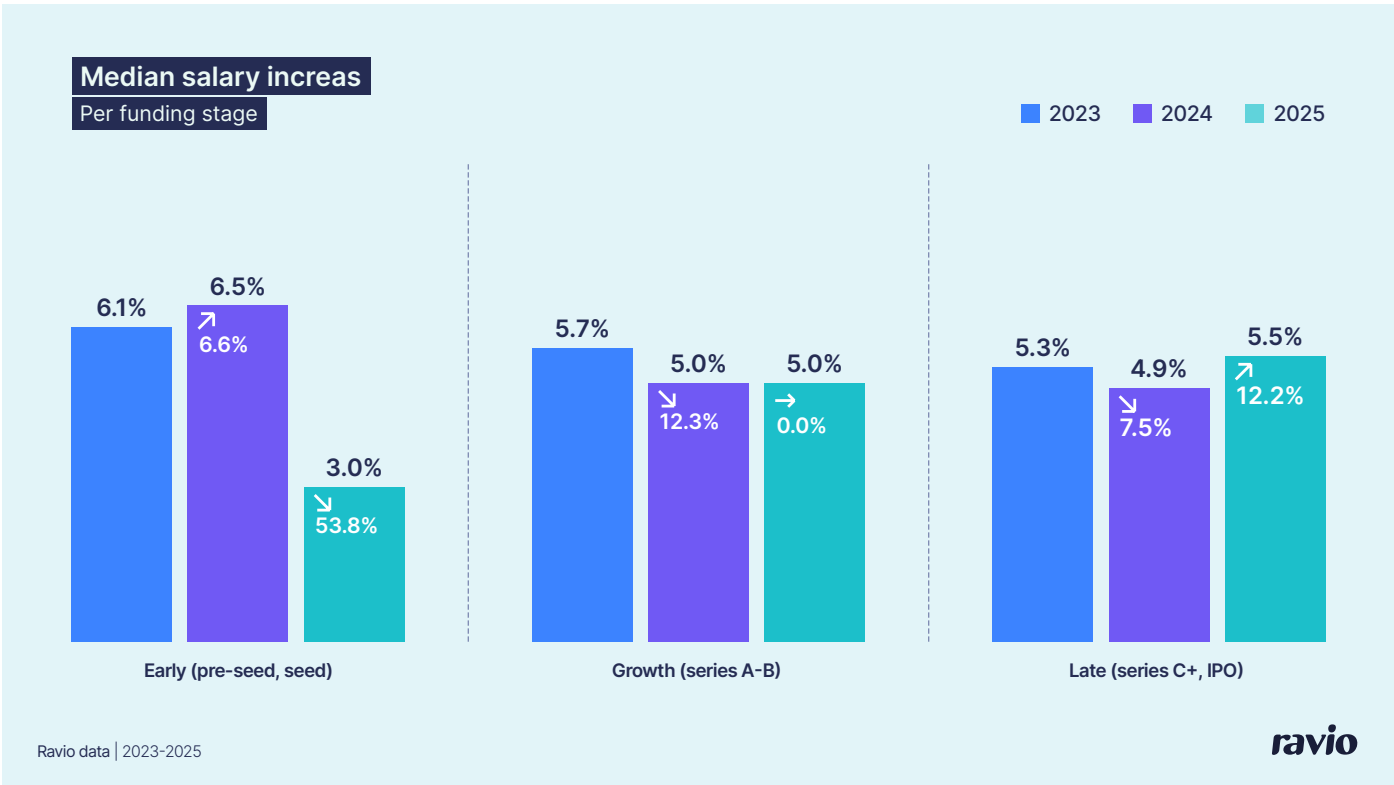
Looking at the data per funding stage, it's clear that there's been a lot of variance in typical salary increases in recent years.

Historically, early-stage companies had the largest annual salary increases, needing to stay competitive to retain early employees – especially when equity is seen as high risk before the company is fully established. However, in the past year early-stage salary increases collapsed by 54% (from 6.5% to 3.0%), now the lowest across all funding stages.

This reversal reflects the shift in venture capital from "growth at all

costs" to efficient, sustainable growth. Early-stage companies that once used VC funding to offer market-leading increases are now prioritising extended runways – though AI startups are the notable exception to this trend.

Growth-stage companies maintained stable 5.0% increases, while late-stage companies now offer the strongest annual pay progression. Late-stage companies, with established revenue streams and less dependence on external funding, have more flexibility to increase salaries – and they start to compete with traditional enterprises and Big Tech for talent.



“With VCs demanding sustainable growth over rapid scale, early-stage companies must optimise compensation budgets whilst building a relatively new employee experience. Success means thinking strategically across all People initiatives, and spending wisely.”

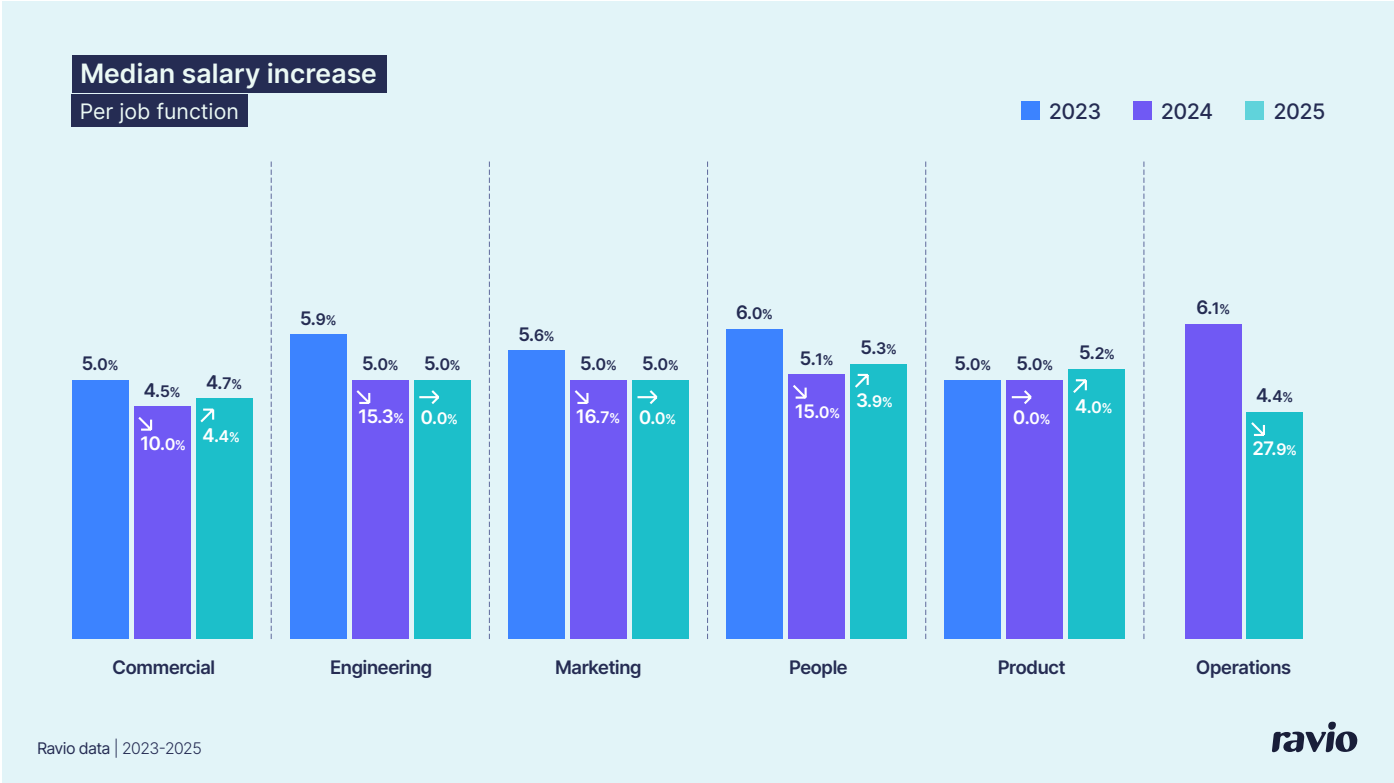
Rob Green • Founder of Darwin Total Rewards



There's consistency across job functions, with most clustering around 5.0% as the typical annual salary increase. Engineering, Marketing, and Product all maintained exactly 5.0% increases, while People (5.3%) and Commercial (4.7%) showed only minor variations.

This uniformity could suggest companies are taking more centralised approaches to salary increases, moving away from function-specific strategies.

The one outlier is Operations, which saw a steep 28% decline. This likely reflects the evolving nature of operations roles – with routine tasks increasingly able to be automated or outsourced, while strategic operations work is often being brought within other functions like Product ('Product Ops') or Engineering ('Engineering Ops').



“Lessons learned from years of tech layoffs, in combination with seeing lean teams at AI-first startups achieve incredible results, is leading founders to challenge themselves to think differently. It used to be formulaic: seed round meant hire X roles, Series A meant hire Y roles. Now founders are asking themselves how to get further along the scaling journey with fewer people. It’s no surprise that lower level operational and support roles are the ones being deprioritised as companies automate many workflows.”

Andrew Duncan • Talent Director



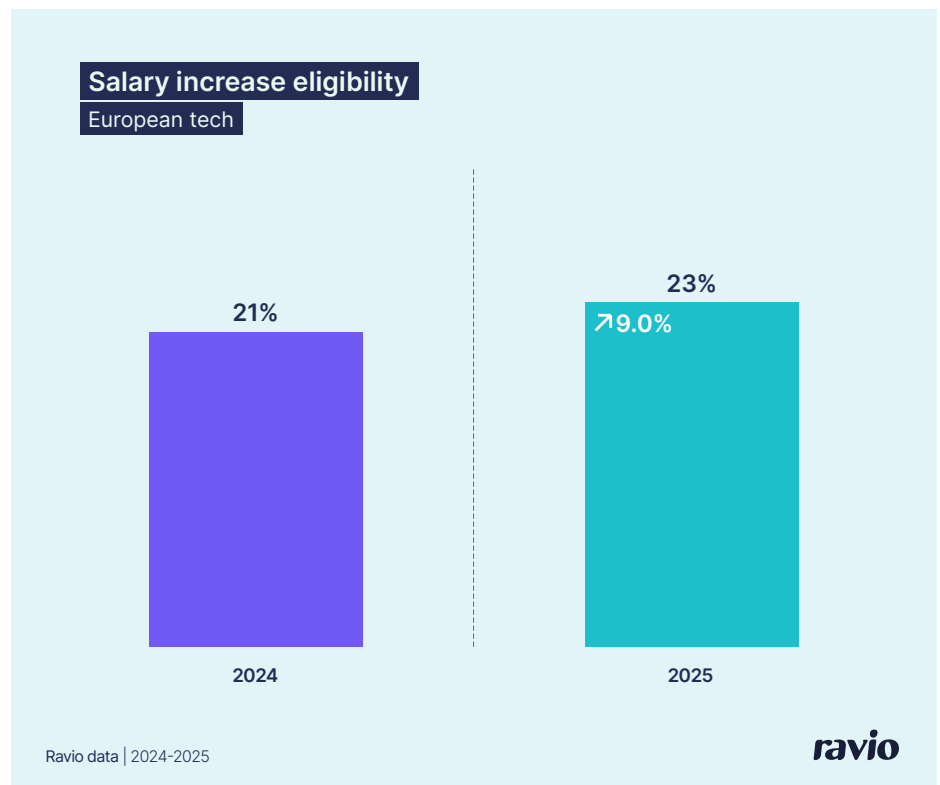
Salary increase eligibility

The salary increase data reflects the average pay rise for employees who receive one – but not all employees do get a salary increase.

When we look at the percentage of employees who received a salary increase, we can see that just 23% of employees received a salary increase in the past year (October 2024 to October 2025), up slightly from 21% in the previous year.

It's important to note that this reflects only in-role salary increases, so there's an additional group of employees who received a promotion (see page 30) and will have therefore gained a promotion-based increase.

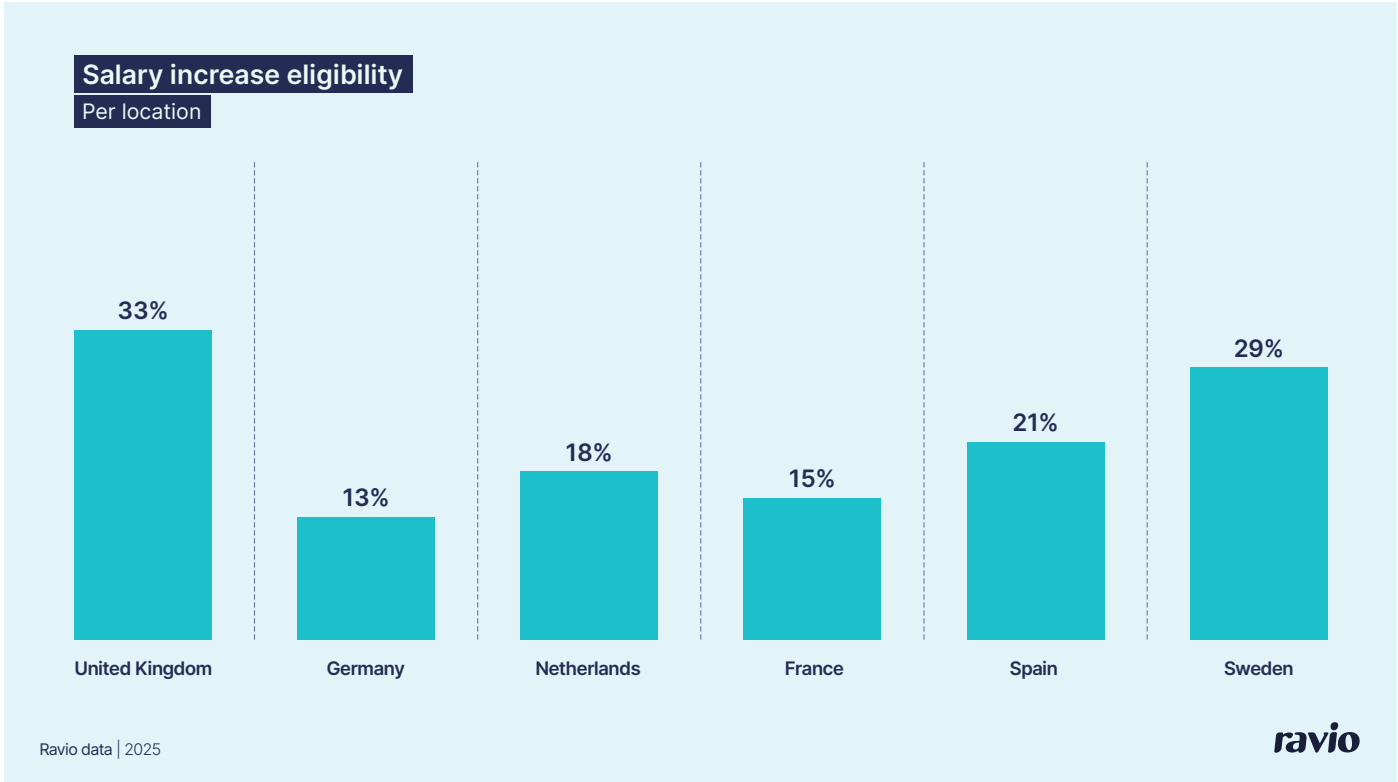
Those employees receiving no in-role increase and no promotion increase pose a risk given that we've seen market median salaries are continuing to rise. Companies maintaining salary freezes for the majority of their workforce may find their compensation becoming uncompetitive, particularly for those who have been in role for multiple years without adjustment.



“When only a small share of employees receive salary increases while market medians continue to rise, companies may be intentionally or unintentionally setting up future retention challenges, especially if external opportunities improve. It's difficult to say whether this reflects a new discipline, an overcorrection from past cycles, or a targeted strategy to reward select individuals over others.”

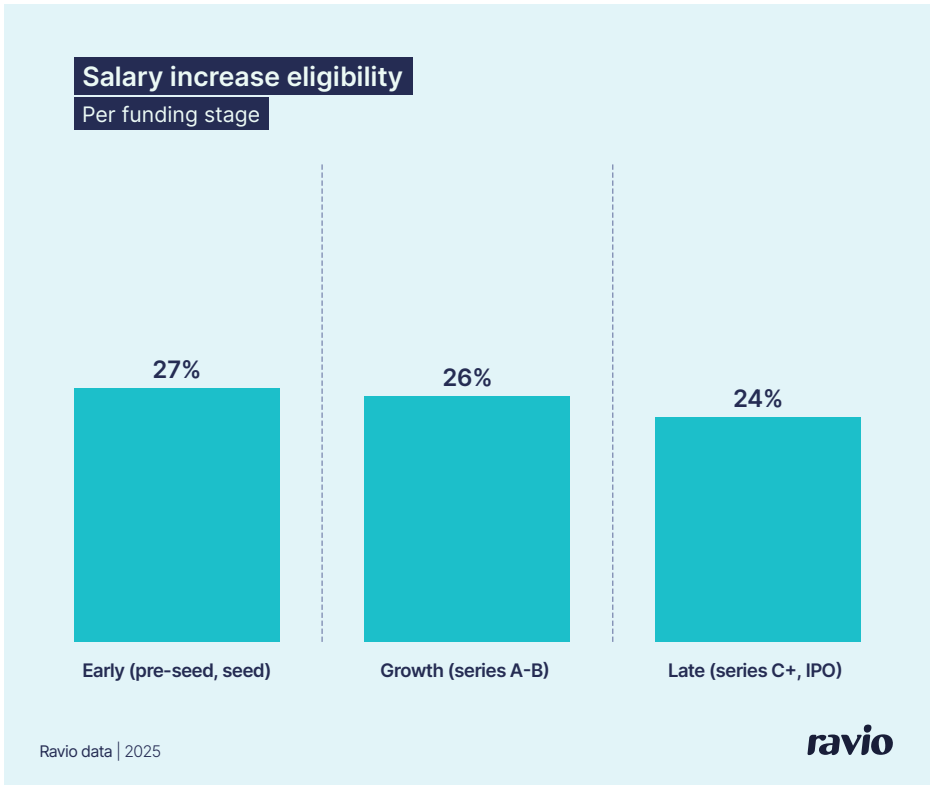
Anna Ott • VP People





Looking at differences across markets, the UK and Sweden show the highest eligibility rates, with roughly one-third of employees receiving in-role salary increases (33% and 29% respectively).

At the other end, Germany, France and the Netherlands seem to have much more restrictive approaches, with only 13-18% of employees receiving raises, patterns that may reflect different labour market structures.

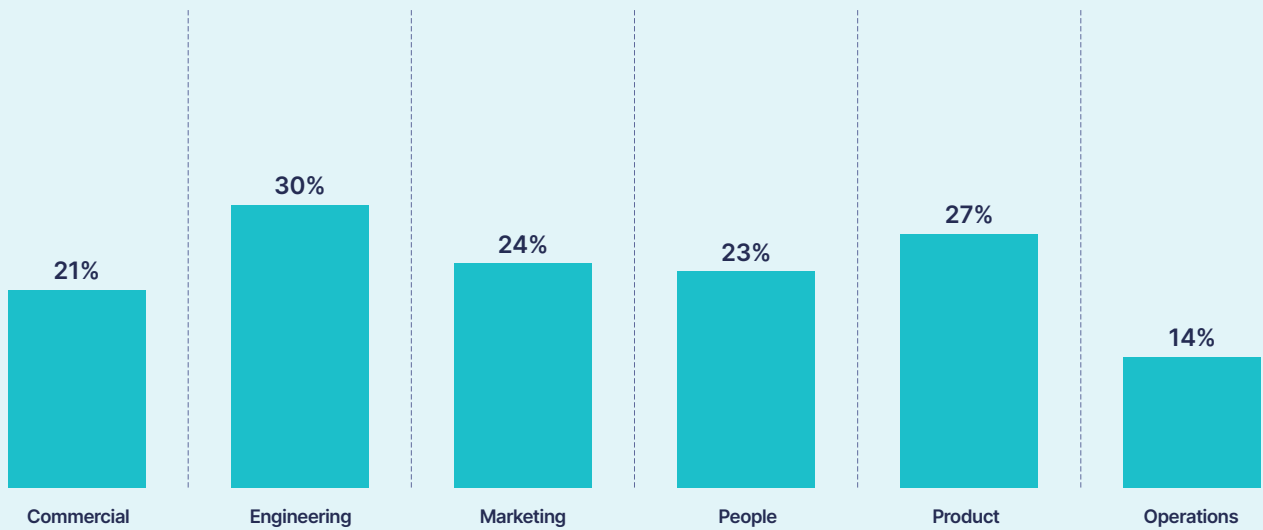


Interestingly, early-stage companies are most likely to grant in-role salary increases (27%), followed by growth-stage (26%) and then late-stage (24%).

So, despite offering the smallest increase amounts when they do adjust salaries (3.0% vs 5.0% at growth and 5.5% at late-stage), early-stage companies do appear to be using selective raises as a retention tool.

Salary increase eligibility

Per function



Ravio data | 2025

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Tech functions have the highest proportion of employees receiving an in-role salary increase, with Engineering at 30%, quickly followed by Product at 27%. Meanwhile, Commercial (21%), Marketing (24%), and People (23%) functions cluster around the average.

This suggests companies prioritise salary adjustments for technical roles, potentially reflecting the continued competition for engineering talent and the strategic importance of retaining these team members.

Operations sees the lowest eligibility at just 14% of employees receiving a salary increase.

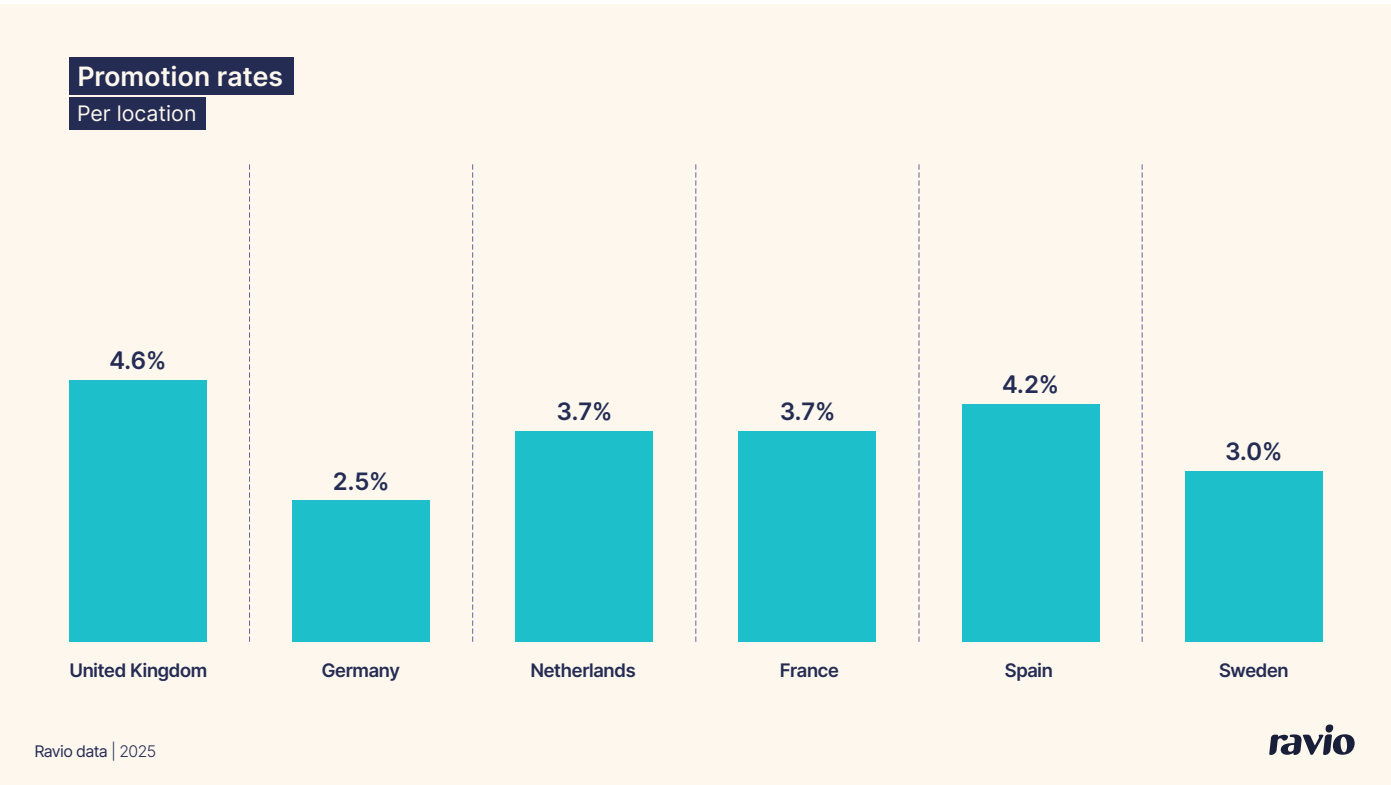
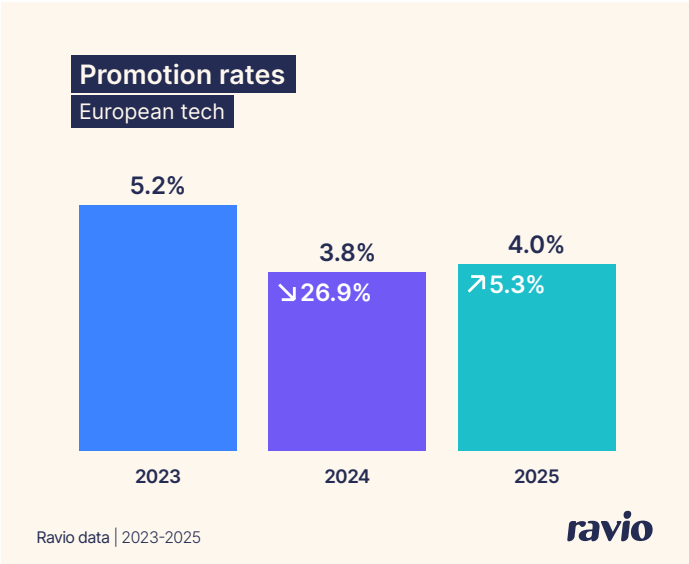
This aligns with the earlier finding that Operations also experienced the largest decline in salary increase values (-28%). Companies appear to be limiting compensation investment in traditional operations positions, again likely connected to the increasing automation and outsourcing of some operations roles.

Promotions

Promotion rates

Career progression has stayed relatively slow in European tech, with promotion rates edging up slightly this year to 4.0% from last year's 3.8%, but remaining well below the 5.2% seen in 2023 – suggesting companies are taking a more selective approach to advancement.

In combination with the salary increase eligibility data, we can see that 73% of the workforce has received no salary adjustment at all in the last 12 months (4% receiving a promotion increase, and 23% an in-role adjustment).



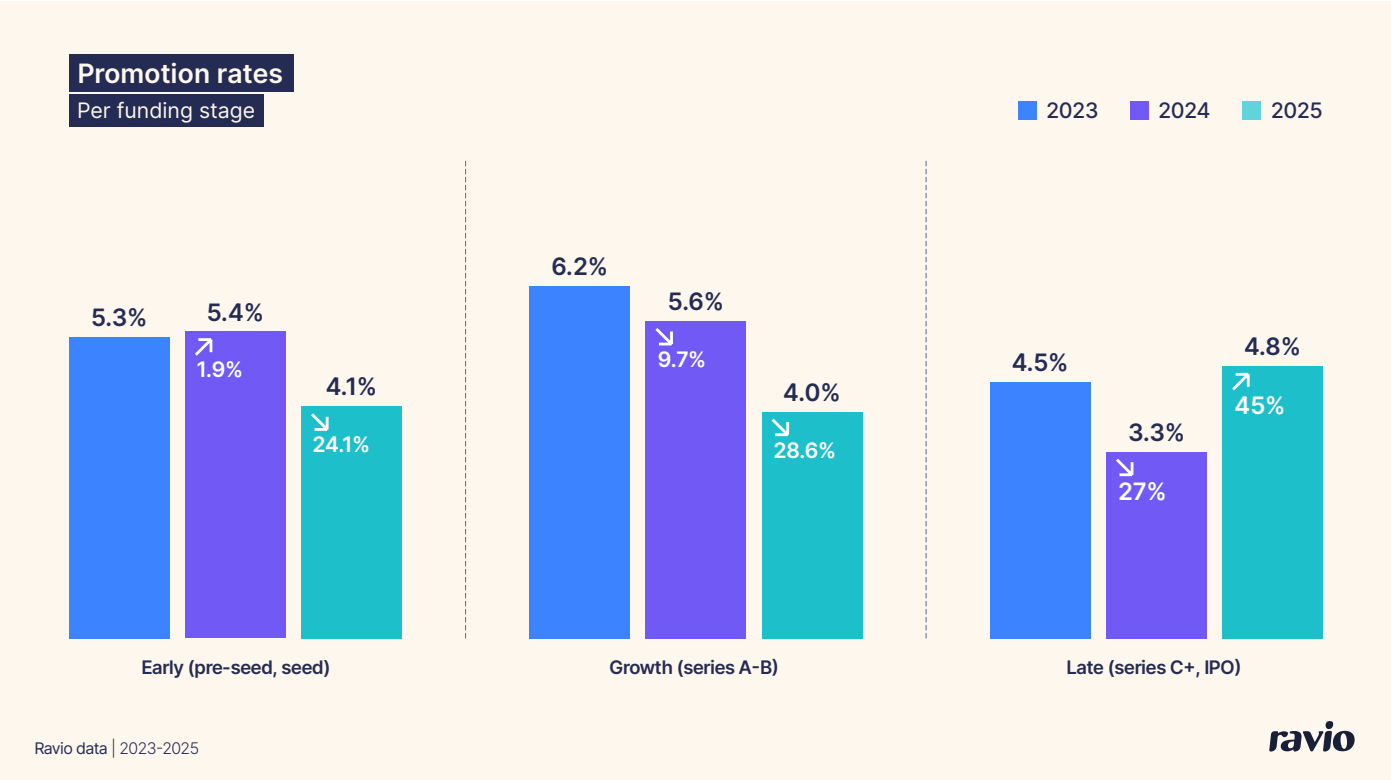
Promotion rates vary moderately across European markets, the highest in the UK at 4.6% and the lowest in Germany at 2.5%.

In many cases, we see the same pattern in promotion rates per location as in salary increase eligibility. The UK sees high levels of both salary increases (33% eligibility) and promotions (4.6%), while Germany is more restrictive on both (13% and 2.5%).

Sweden, however, is a notable exception, with high salary increase eligibility (29%) but below-average promotion rates (3.0%). In the salary benchmark index we saw that median salaries in Sweden have increased significantly over recent years – so it may be that Swedish companies are having to invest extra compensation budget into maintaining competitive salaries for new hires, meaning less budget available for promotions and pay increases for existing employees.

Promotion rates at late-stage companies have seen a substantial increase this year, a complete reversal from last year when they had the lowest rates of promotion. Meanwhile, early-stage and growth-stage companies have seen a decline in promotion rates, down -24% and -29% respectively.

This mirrors the salary increase trends, where early-stage companies dropped to just 3.0% average increases. Both patterns point to the same reality: early-stage companies are operating with tighter compensation budgets as they prioritise extending runway and controlling costs. Late-stage companies, with more stable finances, can afford to invest in both salary increases and career progression for their teams.



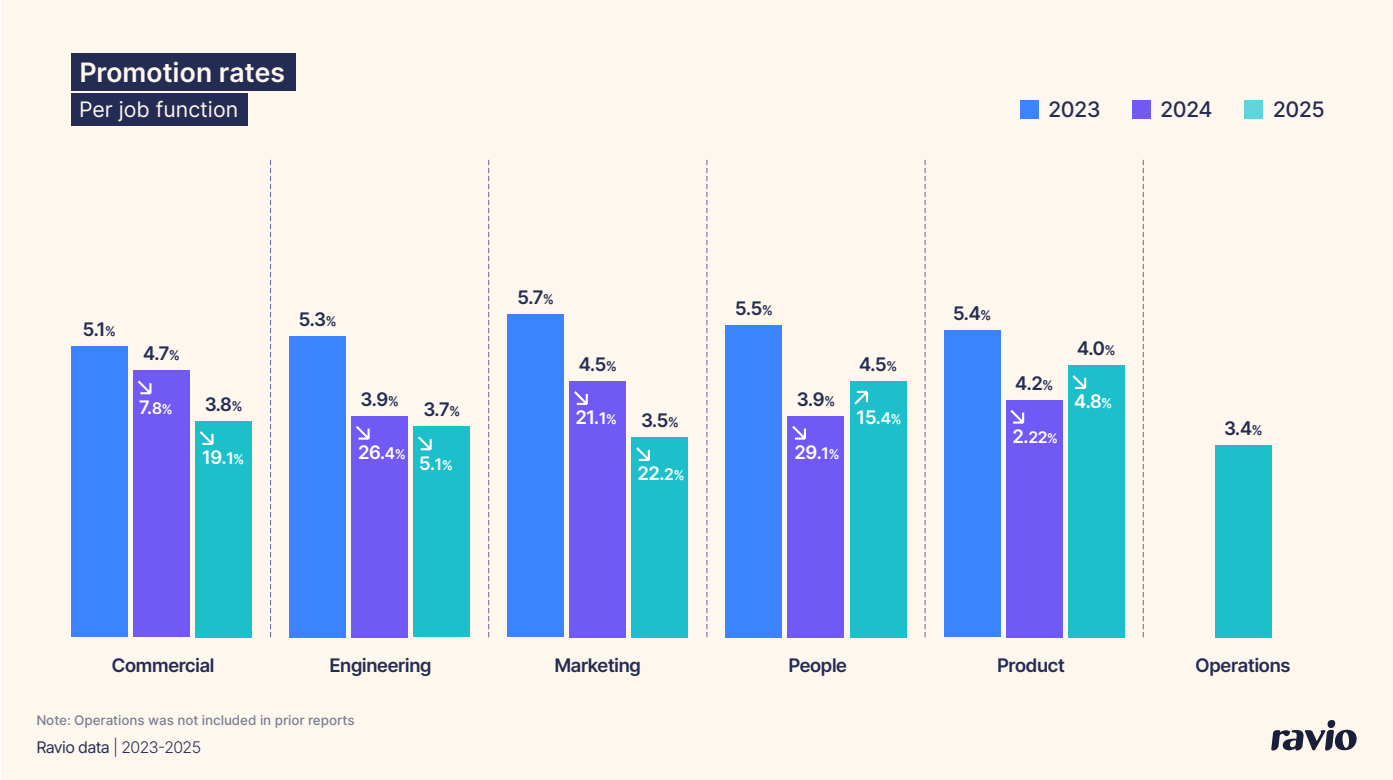
“Early-stage funding is still available, but mid to later stage funding is drying up. This means startups need to show profitability much earlier – the days of relying on a string of raises are over. The money they're getting now needs to last much longer than it used to.”

Matt McFarlane • Director at FNDN



When we look at promotion rates across different job functions, we can see that People teams have seen the highest promotion rates in the past year at 4.5% – and the biggest increase in promotions since last year too. Companies investing in pay and progression for their People function – perhaps a response to the high attrition rates seen in the People function last year (see page 43).

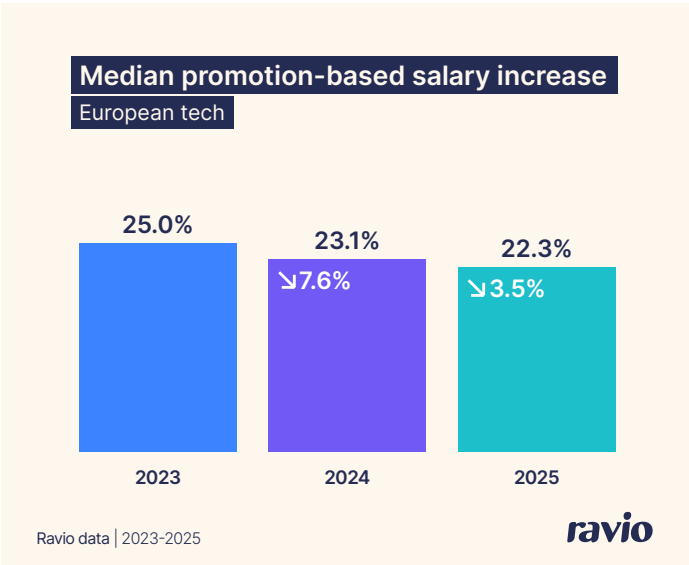
On the other end of the spectrum, Marketing (3.5%) and Operations (3.4%) show the lowest rates – continuing the theme we’ve seen so far of compensation constraints in the Operations job function.



Promotion-based salary increases

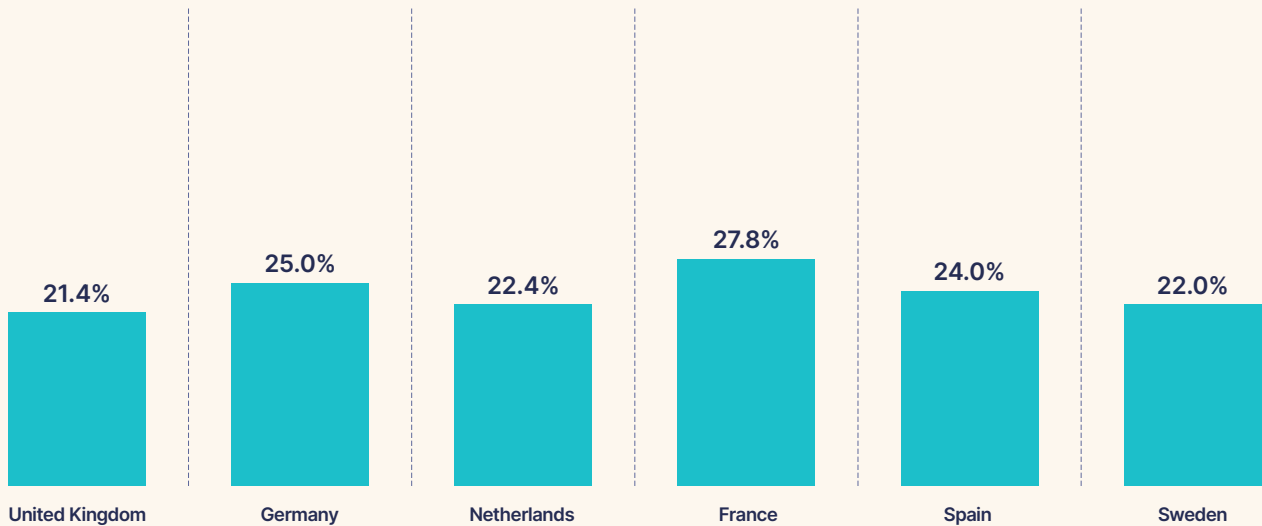
Naturally, promotions come with a salary increase to bring the employee’s pay in-line with their new level of seniority – usually a much more substantial pay increase than your typical annual in-role increase.

Across European tech, the median salary increase received at promotion is currently a 22% bump in salary – continuing a trend of slightly declining promotion increases over the past few years.



Median promotion-based salary increase

Per location

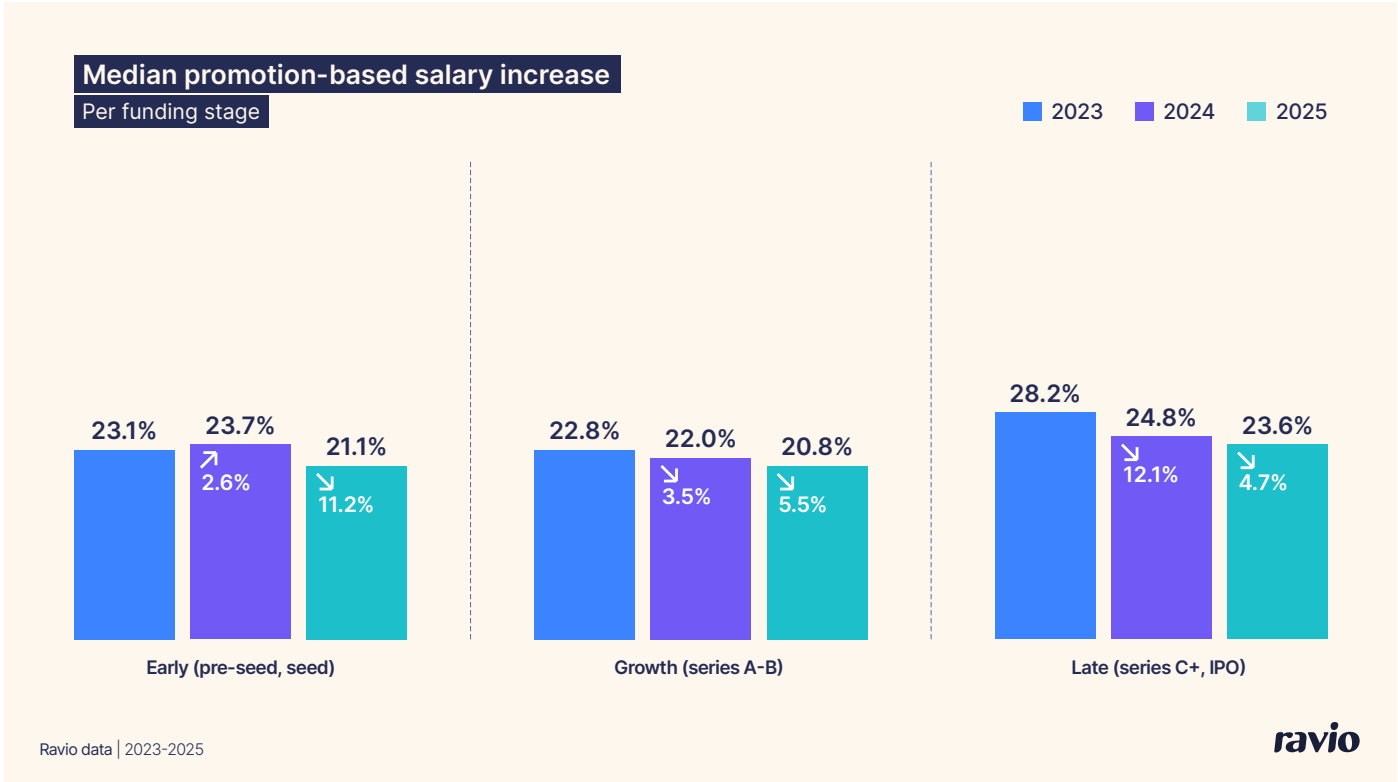


Ravio data | 2024-2025

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Promotion increase sizes vary significantly across European markets. France leads with 28% median increases, whilst the UK offers the smallest promotion increases at 21%, with Sweden (22%) also below the European average.

Interestingly, countries with higher promotion rates tend to offer smaller increases – the UK has the highest promotion rate (4.6%) but lowest increase (21%), while Germany shows the opposite pattern (2.5% promotion rate, 25% increase). This suggests different approaches: some markets promote more frequently with modest increases, while others promote employees more slowly but with more significant changes in base pay.



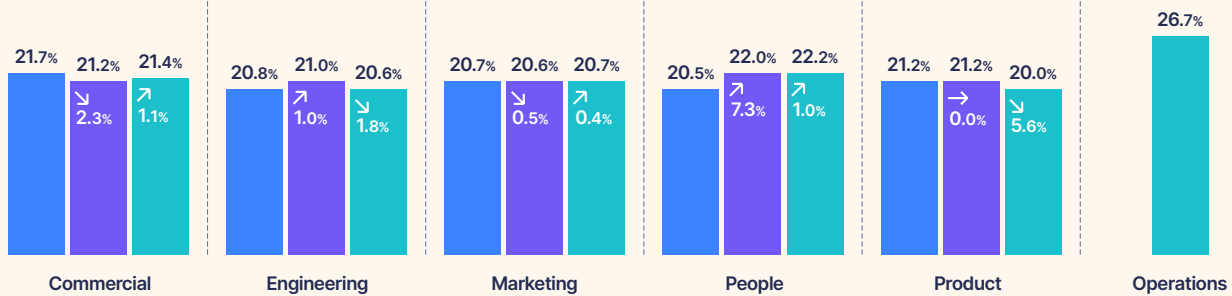
Early-stage companies show the steepest decline in median promotion-based salary increases, down 11% to just 21% – the lowest across all funding stages. This aligns with the reductions we’ve seen at early-stage companies across salary increases and promotions more generally.

Despite increasing their promotion rates significantly this year, late-stage companies maintain the highest promotion increases. Late-stage companies typically have more levels in their organisation structure which allows for more promotion potential, and their stronger financial position may also allow for both more frequent and more sizable promotions.

Median promotion-based salary increase

Per job function

2023 2024 2025



Note: Operations was not included in prior reports

Ravio data | 2023-2025

ravio

Operations shows the highest promotion increases at 27%, a notable outlier considering the constraints we've seen in promotion rates and salary eligibility for this function. This could reflect the bifurcation of operations roles in the AI era – while routine positions face automation pressures (hence fewer promotions), more strategic operations roles may command premium increases as their importance heightens.

The remaining functions cluster within a narrow 20-22% range – suggesting this represents the 'standard' expectation for promotion-based salary adjustments in European tech.

Marketing demonstrates remarkable stability at 21% for three consecutive years, while Engineering (21%), Product (20%), Commercial (21%), and People (22%) show only minor variations too.

"Companies overestimate how much AI can replace operational and support roles – while some automation exists, real-world implementation rarely justifies such dramatic cuts. In the People function, for instance, People Ops roles always get cut first when budgets tighten, but quickly become understaffed, causing operational problems. We'll see companies rehiring these roles soon, just as we're already seeing with recruiting."

Marie Richter • HR Consultant and Strategic Advisor

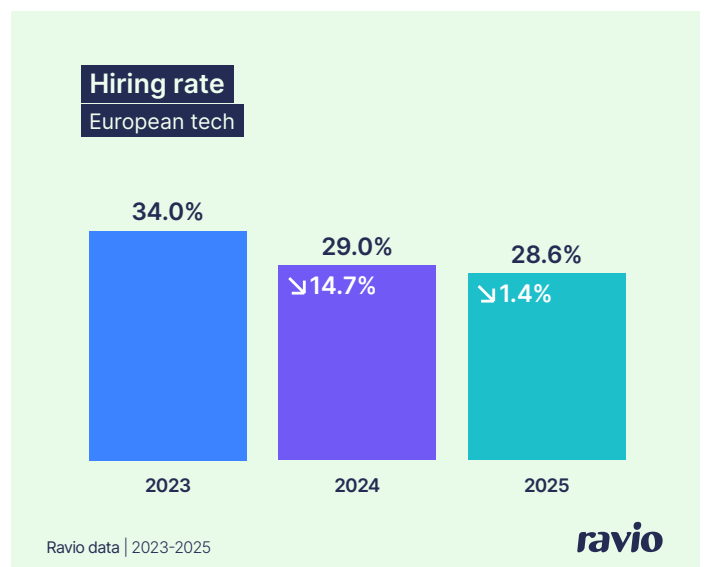
MR
Marie Richter

Hiring

Hiring rates

Hiring rates across European tech currently sit at 29%, stable compared to last year – especially considering the significant -14.7% drop in hiring seen the previous year.

This suggests a stabilisation, with companies maintaining the same steady but cautious approaches to team expansion as we saw last year, and avoiding the more rapid headcount growth trajectories that used to be characteristic of tech.



“Stable hiring rates suggest tech companies are progressing with caution. This pause in rapid scaling gives them space to strengthen their talent acquisition and rewards strategies – building more sustainable foundations for future growth.”

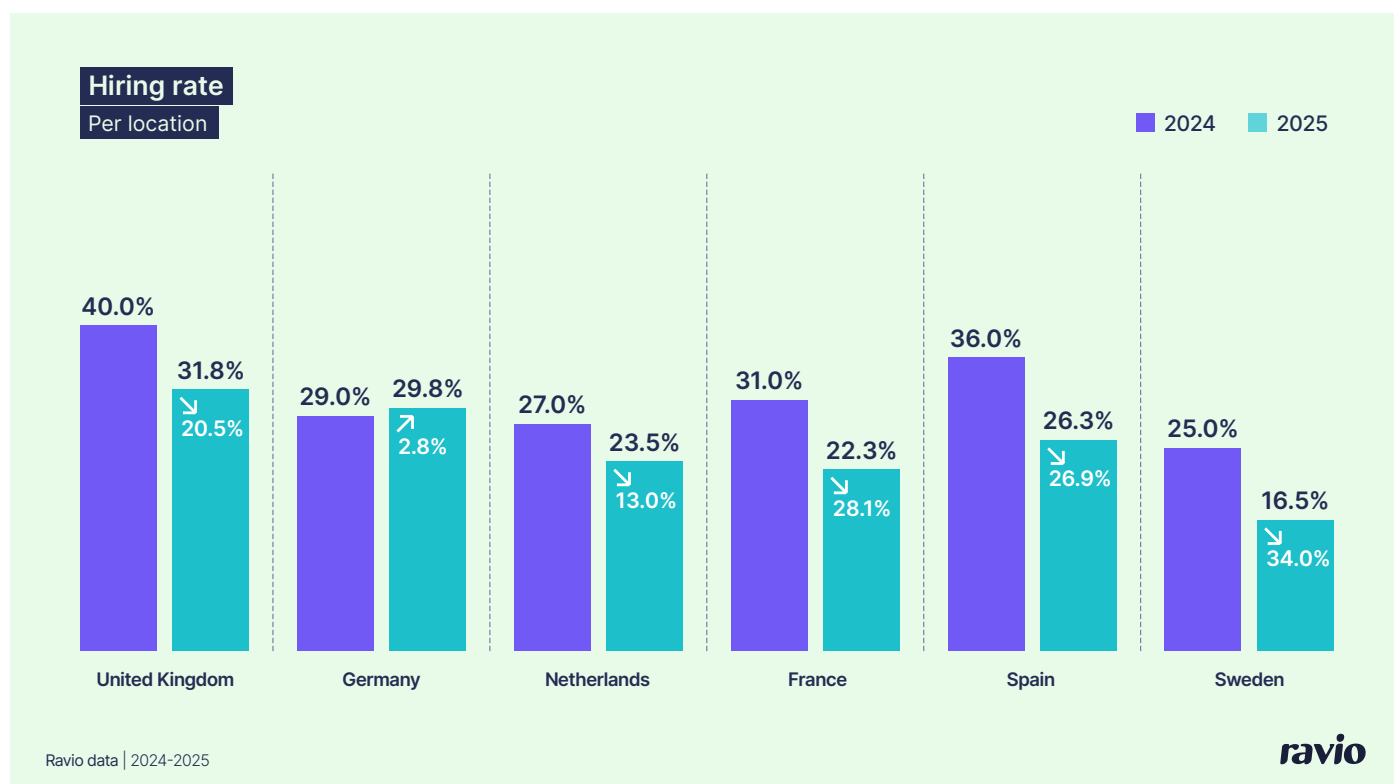
Rob Green • Founder of Darwin Total Rewards



“We’re seeing companies move from ‘growth at all costs’ to more sustainable models. But the cost of work is shifting: instead of four employees doing a job, it might soon be one highly paid expert supported by three AI agents. Those agents might show up as tech spend, not payroll. HR and finance teams will need to work together on compensation and cost planning that reflects this new mix. Reliable benchmarks and guidance will be critical.”

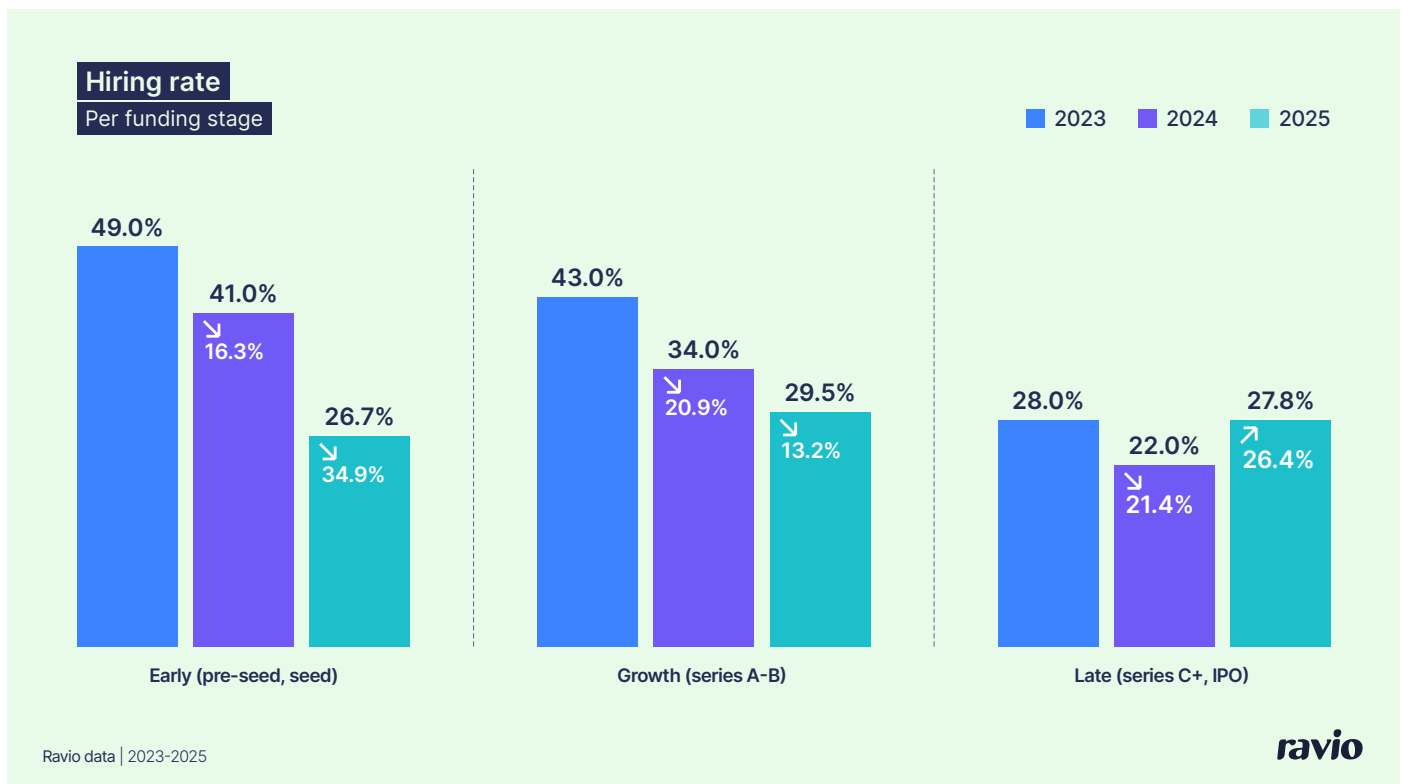
Noor van Boven  Co-founder

invested



European markets show notably different hiring patterns in 2025. Germany stands alone with positive growth (+2.8% to the relatively high hiring rate of 30%). The UK maintains the highest absolute hiring rate at 32%, despite seeing a significant decline from last year's very high hiring rate.

Sweden experienced the largest decrease in hiring, down 34% to just 17% – now the lowest rate across all markets. This contraction is particularly interesting given Sweden's strong salary benchmark growth shown earlier, combined with their below-average promotion rates. The need to match competitive market salaries for new hires may be constraining budgets for both broader hiring and internal promotions.



Hiring rates across funding stages have converged. Where 2022-3 showed variation (49% for early-stage vs 28% for late-stage), all stages now sit within a narrow band of 27% to 30%.

Late-stage companies increased hiring by 26% to reach 28%, reversing last year's decline and aligning with their increased promotion rates. Early-stage companies continued contracting (-35% to 27%), bringing them down from the exceptional 49%

rate of two years ago to more sustainable levels. Growth-stage companies declined more moderately (-13% to 30%).

This convergence suggests all company stages adopting similar, measured approaches to team expansion regardless of funding position. The days of early-stage hypergrowth appear to have given way to more uniform hiring strategies across the board.

“We’re seeing a shift toward leaner, more intentional company building at early-stage. Founders are deploying cash and equity more selectively to attract one or two people who can materially change the company's trajectory. The challenge is role clarity and avoiding inflated job titles.”

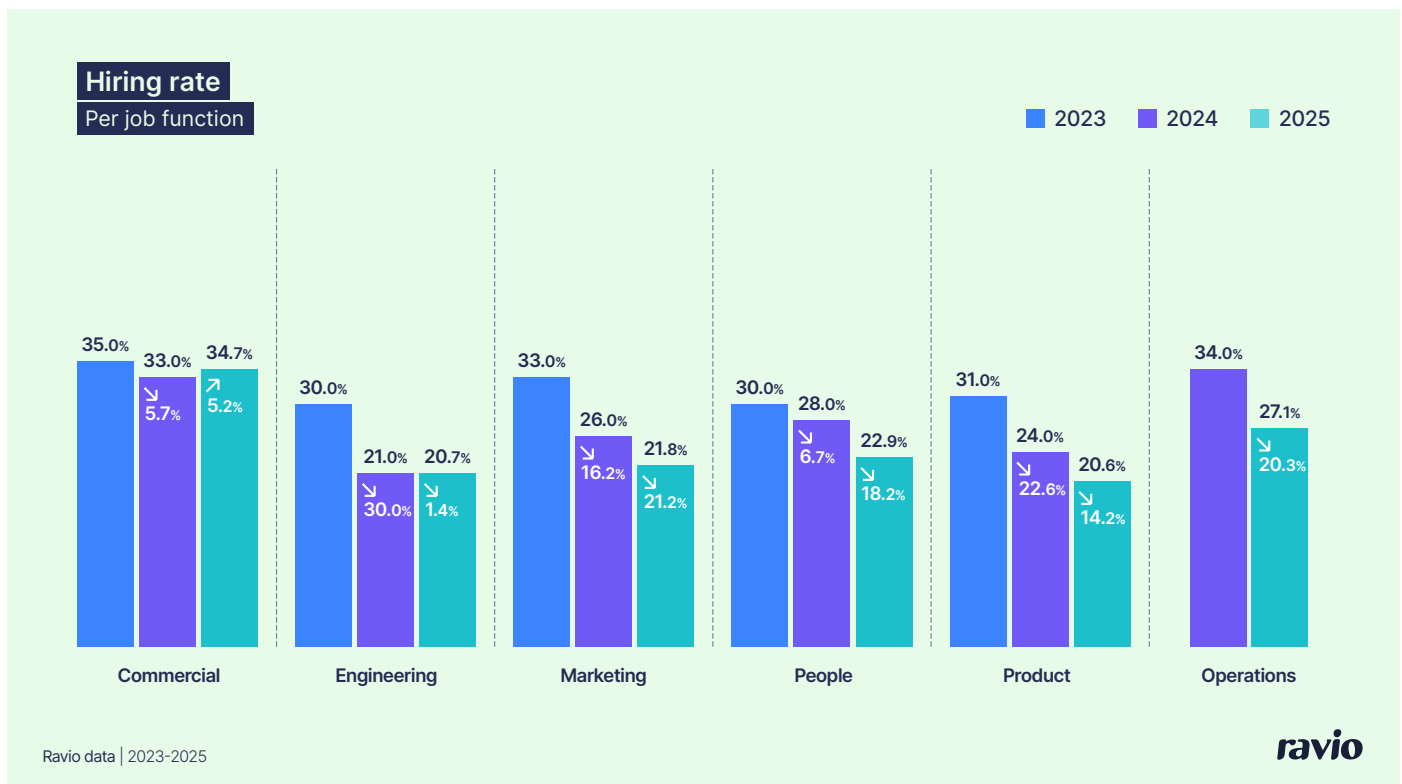
Chloe Paramatti • Early Stage People Lead

IEQT

“Hiring rates are down and headcount growth is lower, but it's more strategic – we’re seeing founders target specific capabilities needed to bring new products to market, especially AI-native talent and customer-focused roles like Forward Deployed Engineers.”

Michelle Coventry • VP Talent

CREANDUM



Commercial stands out as the only function with increased hiring rates this year, up 5.2% to 35% – now the highest rate across all functions by far.

Whereas companies are constraining hiring elsewhere (potentially due to an uncertain economic environment, as well as AI enabling leaner headcount), the continued investment in commercial teams suggests revenue generation is a top priority, with companies betting on their commercial teams to drive results.

Most other functions cluster around a typical 20-22% hiring rate (Engineering, Marketing, Product, People). This...

represents a significant continued decline from 2022-3 when these functions showed hiring rates of 30%+.

Operations is the other notable exception. Despite hiring rates declining 20% in the last year, it maintains a 27% hiring rate – higher than all other functions other than Commercial. However, as we've seen throughout this report, Operations faces significant compensation pressures with the lowest promotion rates and salary eligibility. This pattern could suggest high turnover driving replacement hiring, or a shift toward hiring strategically different operational skillsets while constraining investment in existing roles.

“Our internal job data confirms Ravio’s observations: hiring activity has declined slightly this year, and Sales and Business Development roles are now even more dominant on our job board than in the past. While these functions have historically led, this trend is amplified as other categories shrink, underlining the emphasis on commercial roles in the current climate.”

Anna Ott • VP People



Analysis: The AI talent gold rush

The biggest trend in hiring and compensation this year has to be AI talent becoming the new battleground for competitive advantage in tech.

In fact, **the proportion of new hires in AI/ML roles grew by 88% this year** (compared to the previous 12 months).

“Every company is either hiring for AI talent or upskilling existing teams, but success depends on being intentional about it. Some clearly understand what AI capabilities they need; others are just reacting to FOMO. The companies that balance being lean with rewarding high-impact AI talent are the ones attracting both funding and the right people.”

Chloe Paramatti • Early Stage People Lead

IEQT

“Startups are seeing real benefits from AI – identifying client needs faster and delivering smoother customer experiences. But AI isn't replacing the human element. It's the 'back-end whisperer' that arms teams with real-time insights, enabling more impactful human-to-human conversations. Which means there's also a genuine need for AI literacy training for teams to fully benefit.”

Jay Anna Harris-Theis • VP People

earlybird

AI careers is an expanding landscape

In terms of what these AI/ML roles are, **in the last 12 months the number of distinct AI/ML job titles being hired for has increased by 50%**. The diversity of AI/ML job titles is increasing quickly, reflecting how rapidly the field is evolving, with new permutations that didn't exist two years ago.

AI/ML job roles are appearing across all functions, as companies seek the AI skillsets to effectively embed AI tooling and automation to drive efficiency across company processes, reshaping how all teams work.

However, by far the most common function for **AI/ML job titles to be found is Software Engineering, with AI/ML Engineer representing 45% of all AI/ML job titles in Ravio's benchmarking database**, and Senior AI/ML Engineer a further 15%. AI/ML Researcher is another common job title, at 1.4%.

AI skills command a pay premium

Looking at our data for the Engineering, IT, and Data job families (those with the vast majority of AI job titles currently), we can see a market premium for AI roles across all levels of seniority – fuelled by growing competition for AI skillsets, as companies race to build their AI capabilities both to bolster their products and increase the efficiency of their workforce.

Professional-level AI practitioners see a 12% market premium for salaries. This is a significant premium, but much lower than might be expected given the extreme examples that have been cited – like the multi-million dollar bonuses being offered by Meta for top AI Engineering talent. Whilst these extreme compensation packages are possible for the very top global talent spearheading the development of AI, the reality for the median tech worker is much less pronounced.

Further, the management (non-executive) layer shows a much smaller pay premium at just 3%. There seems to be less competition for bringing AI into management roles compared to for hands-on contributors who are integrating AI into workflows.

"Our portfolio companies are universally updating their hiring expectations to include AI know-how – not just in technical roles, but across all functions. We're even seeing hiring managers justify new headcount by demonstrating where AI tools fall short and why human expertise remains critical. The role evolution is fascinating: Customer Success roles evolving into AI Engineers, Digital Marketers becoming 'Vibe Marketers', and SDRs shifting into AI-Enabled or Prompt Engineering SDRs."

Noor van Boven  Co-founder of Invested
invested

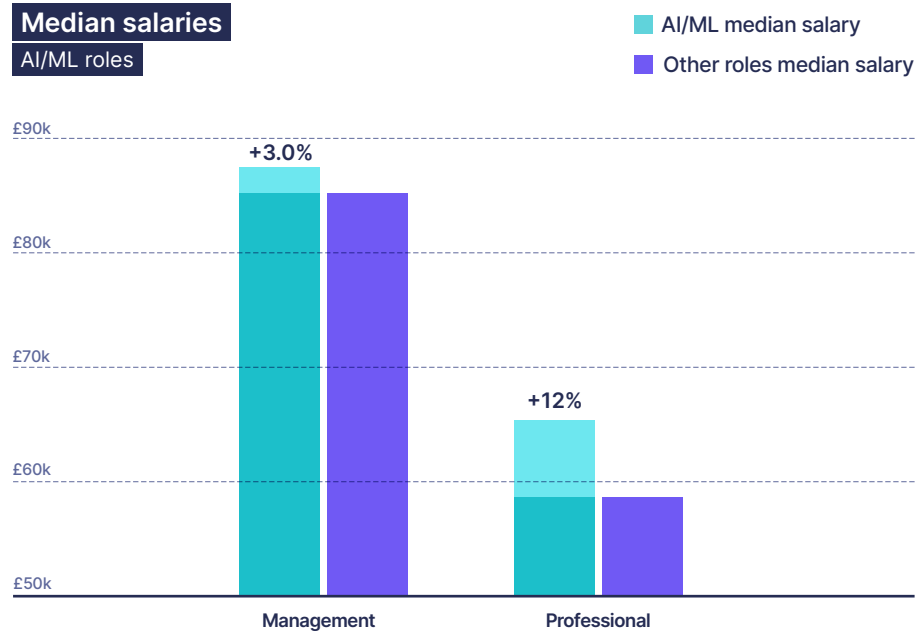
"We're seeing changes to vesting schedules and increased ownership stakes for sought-after AI talent. These roles demand different capabilities and different Rewards."

Michelle Coventry • VP Talent

 CREANDUM

Median salaries

AI/ML roles



Ravio data | 2022-2025

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What this means for your compensation strategy

The combination of explosive hiring growth (88% year-on-year), role diversification (50% increase in unique titles), and pay premiums tells a clear story: tech companies are racing to build AI capabilities while competing for limited talent.

For companies building compensation strategies, this creates immediate challenges. AI roles command premiums – but any inflated salaries you commit to now will remain on your payroll indefinitely, and could mean painful pay equity issues that are difficult to resolve.

Our advice? Leverage other elements of your total rewards offering, like additional equity, enhanced flexibility, or investment in L&D and career progression. If you do need to match premiums to secure AI talent, document clear justification for any departures from your standard salary structures.

"AI has gone from a side project to the core of engineering. In our recent survey, founders expect 20-50% of their engineering org will be AI engineers in 12 months. These AI engineers are owning model evaluation, LLM stack building, and collaborating across product and design. It's no surprise these roles are commanding premiums."

Elena Pantazi • Talent and Portfolio Development Partner

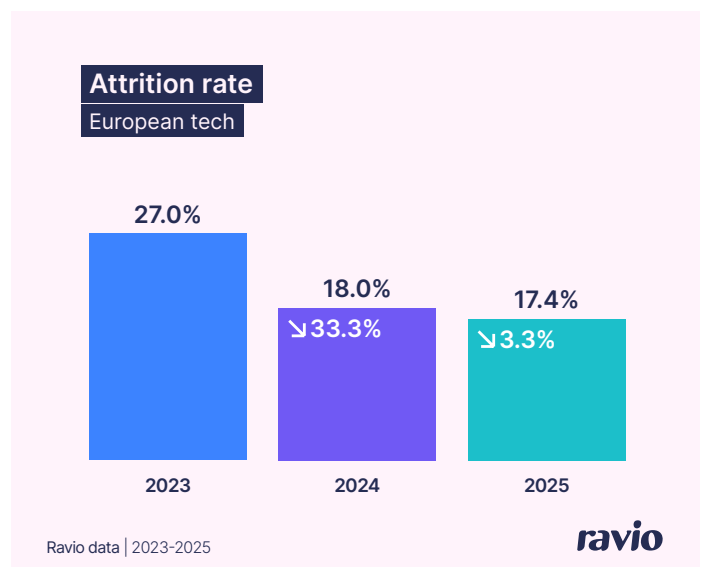
NORTHZONE

Retention

Attrition rates

Attrition rates across European tech have continued to decline slightly this year, reaching 17% from 18% last year.

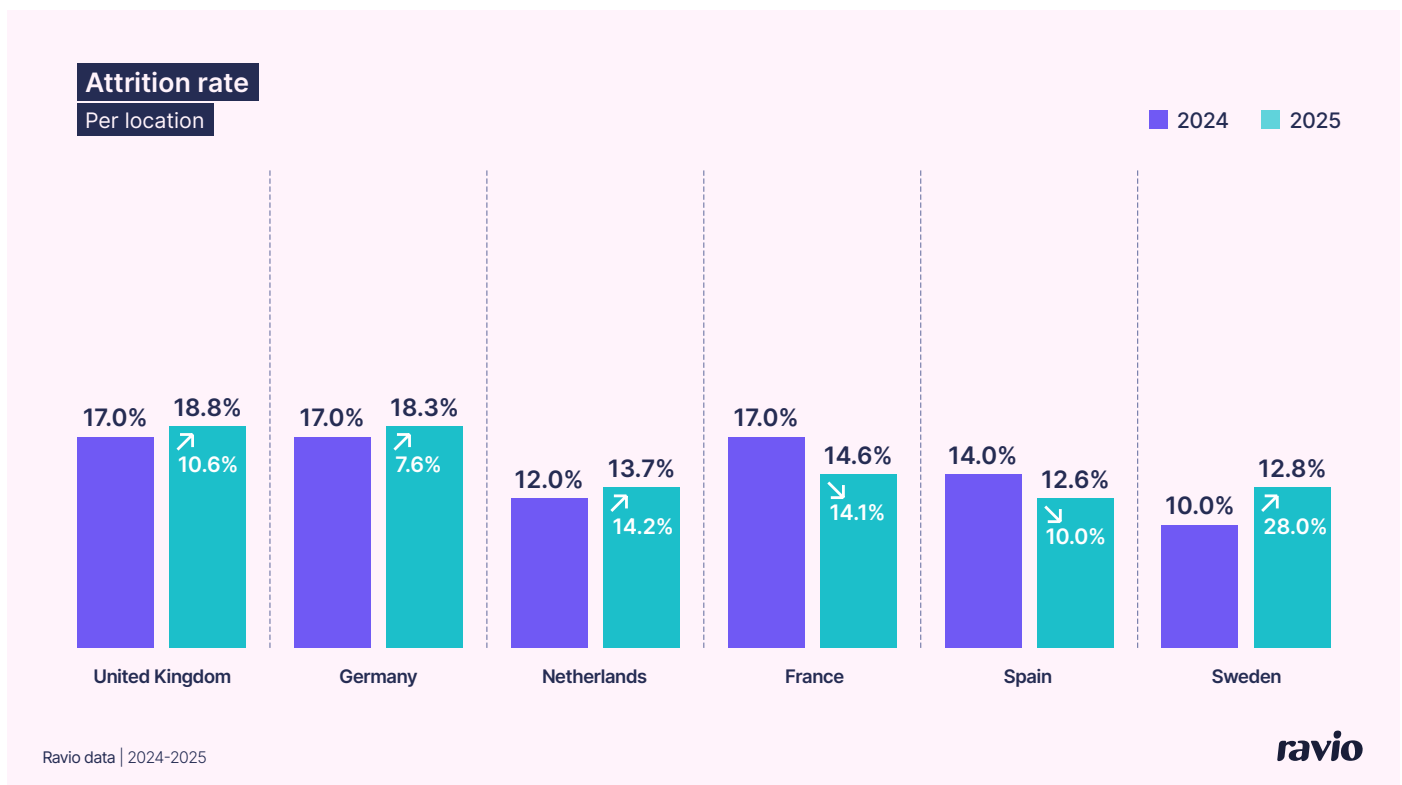
This represents a return to more normal attrition levels, compared to the very high attrition seen in 2023 (27%). With many tech companies having made layoffs in recent years, it seems that retention is now a priority for employers. At the same time, many employees are choosing security and stability in an uncertain job market.



“The attrition data continuing to trend down tells me the market has definitely cooled from the Great Resignation peak. With fewer opportunities elsewhere, employees are less likely to leave – giving companies more negotiating power in retention conversations.”

Matt McFarlane • Director at FNDN





European markets show diverging attrition patterns. France and Spain achieve strong retention improvements, with France down 14% to 15% and Spain down 10% to 13% – both much lower than the overall average across Europe of 17%.

However, several markets have seen increases in attrition.

Although Sweden still has a low rate (13%), it has seen the sharpest rise in attrition (+28%) in the past year. This could be linked to the rise in market median salaries we've already seen in...

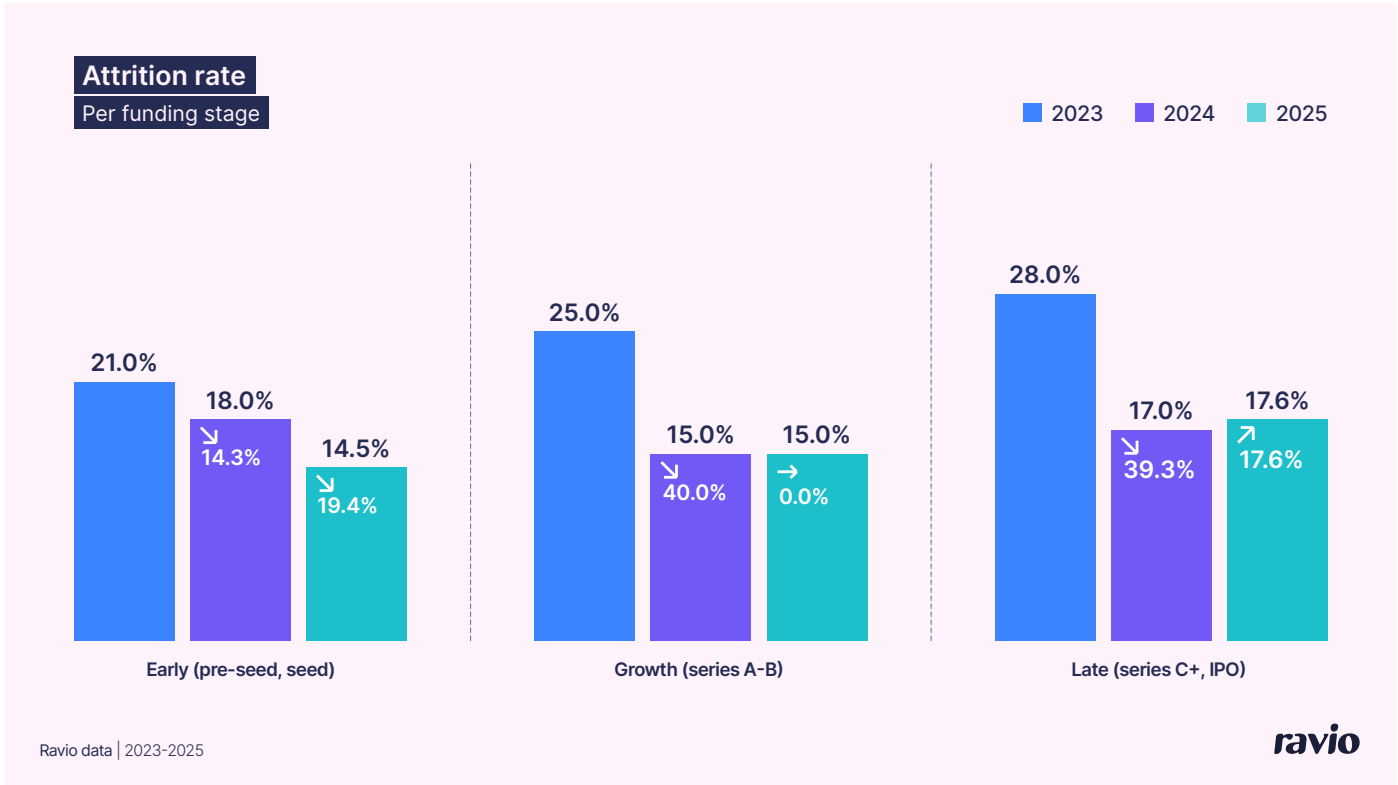
Sweden, and the limited salary increases and promotions that existing employees have received this year – if employees are seeing roles advertised elsewhere at new market rates, there's a clear reason to move on.

Attrition rates in the UK (19%), Germany (18%), and Netherlands (14%) also increased – with the UK and Germany notable as the locations where attrition is above the overall European average, showing high turnover pressure in these markets.

"Even top talent isn't immune to market pressures anymore. With companies less stable than a few years ago, everyone faces risks from redundancy rounds or companies shutting entirely. The prospect of new probation periods at potentially unstable companies makes even well paid employees think twice about switching. This creates an opportunity – but companies need to focus on internal mobility as a retention lever, especially when budgets can't support continuous pay increases."

Marie Richter • HR Consultant and Strategic Advisor

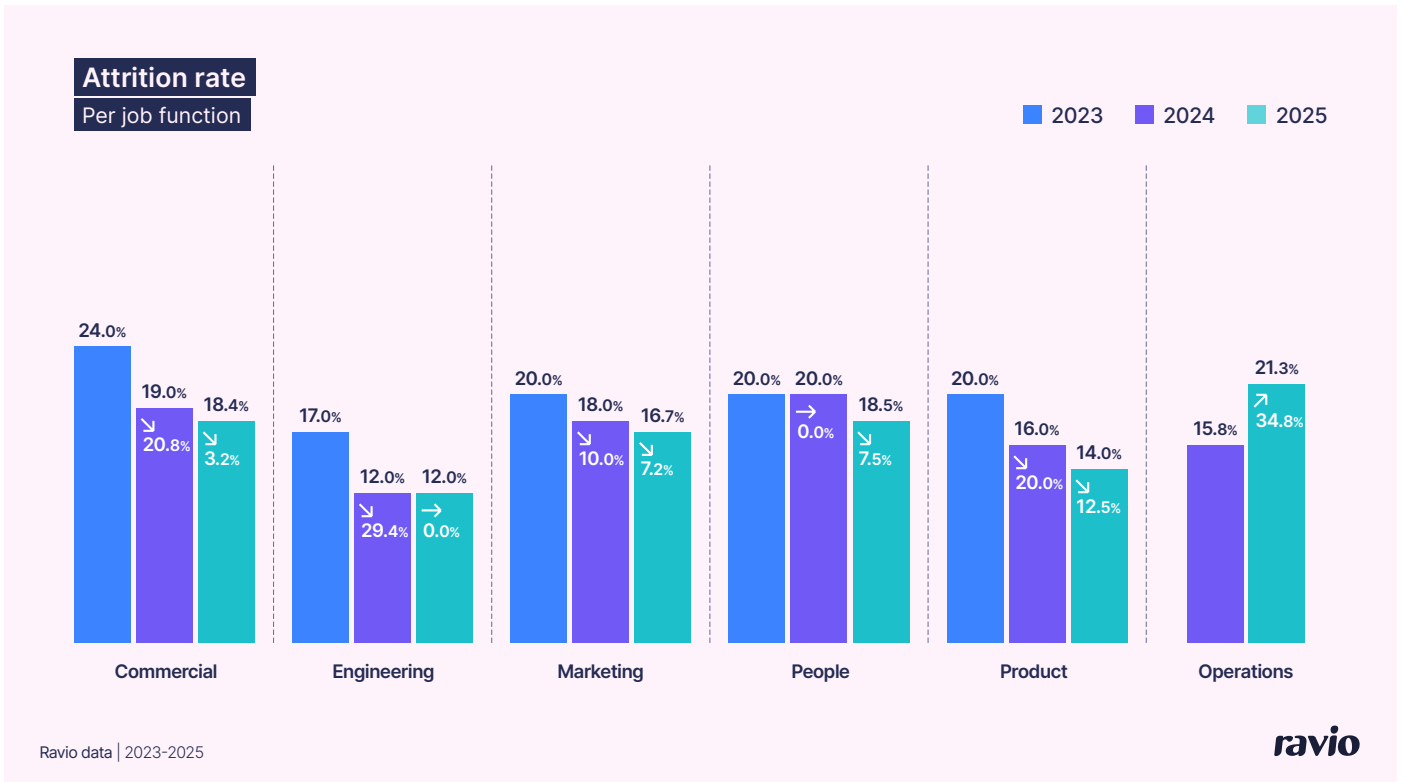




Early-stage companies now have the lowest attrition rates at 14.5% (down 19%) and growth-stage companies are very similar at 15%.

Despite younger companies being able to offer fewer salary increases and promotions, they often see higher retention due to a combination of significant equity ownership, visible impact on company success, and mission alignment.

Both growth-stage and late-stage companies seem to have stabilised at their current attrition rate in the past year, both having seen major improvements in attrition the year before (down -40% and -39% respectively between 2023 and 2024).



The Operations job function faces severe retention challenges this year, with attrition rates surging 35% to 21% – by far the highest across all functions.

Combined with the other pressures documented throughout this report (lowest promotion rates, lowest salary eligibility, and declining salary increases) this indicates significant upheaval in the Operations family.

Operations roles are seeing particular shifts as AI becomes more integrated within our workforces, with some operations roles becoming more strategic, and others being automated or outsourced – so this may reflect intentional departures or companies opting not to replace operations leavers.

Engineering maintains the lowest attrition at 12% for the second consecutive year, with Software Engineers still seeking stability after the many tech layoffs of recent years. With less liquidity in the market for Engineering talent, we may see higher new hire salaries follow.

All other functions have seen improvements in attrition this year: Commercial (–3.2%), Marketing (–7.2%), People (–7.5%), and Product (–13%). The reduced hiring across Marketing (–21%), People (–18%), Product (–14%) could explain some of this – with less external opportunities leading employees to stay put.

The exception is Commercial, where hiring is up (+5.2%) this year and attrition is down. This reinforces the strategic importance of commercial roles in the current market, where revenue protection and generation is taking precedence.

“The Operations findings scream ‘transformation in action’. Our job board still continues to show considerable Operations hiring, perhaps reflecting high replacement demand as companies work to retain and evolve these roles. But obviously, some early adopters are already redesigning their organisations around efficiency gains they hope to get from AI and automation.”

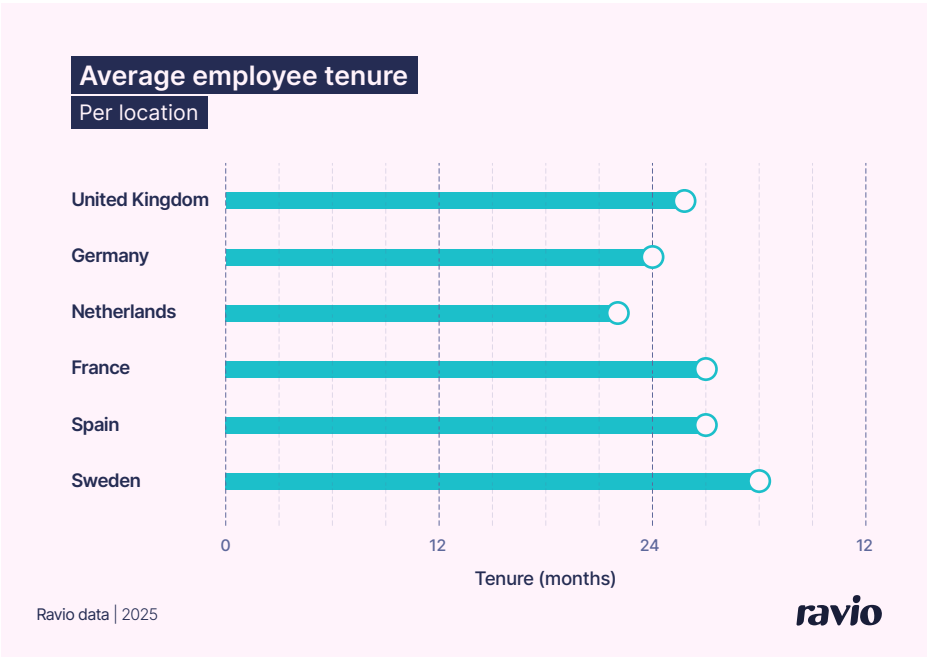
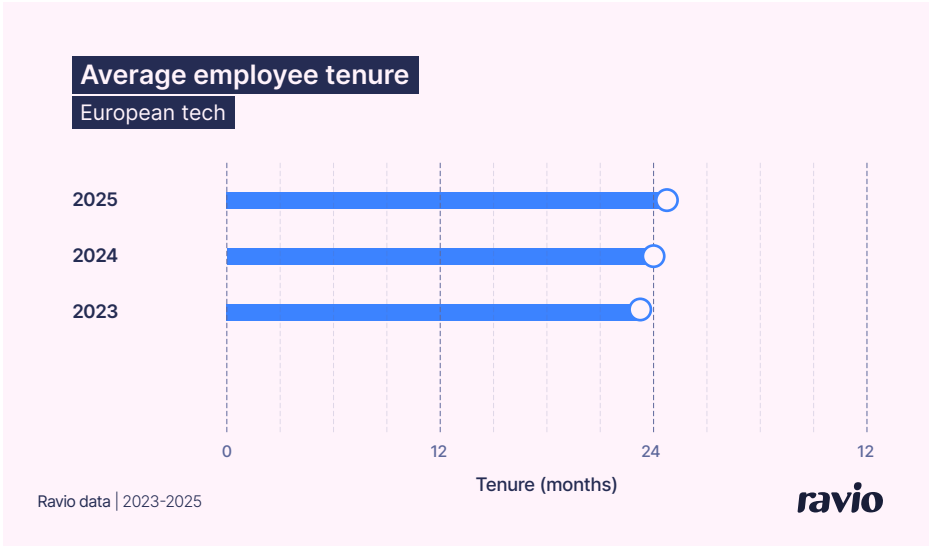
Anna Ott • VP People



Average employee tenure

Average employee tenure across European tech has continued to lengthen in recent years, now reaching 2 years 1 month – gradually increasing from an average of 2 years in 2024 and 1 year 9 months in 2023.

This steady increase mirrors the attrition trends in reflecting the stabilising job market, with employees staying in roles longer as hiring rates reduce and job security becomes a bigger priority.



Most European markets cluster around 2 years to 2 years 3 months tenure, close to the overall average. The UK (2 years 2 months), Germany (2 years), France (2 years 3 months), and Spain (2 years 3 months) all fall within this narrow band.

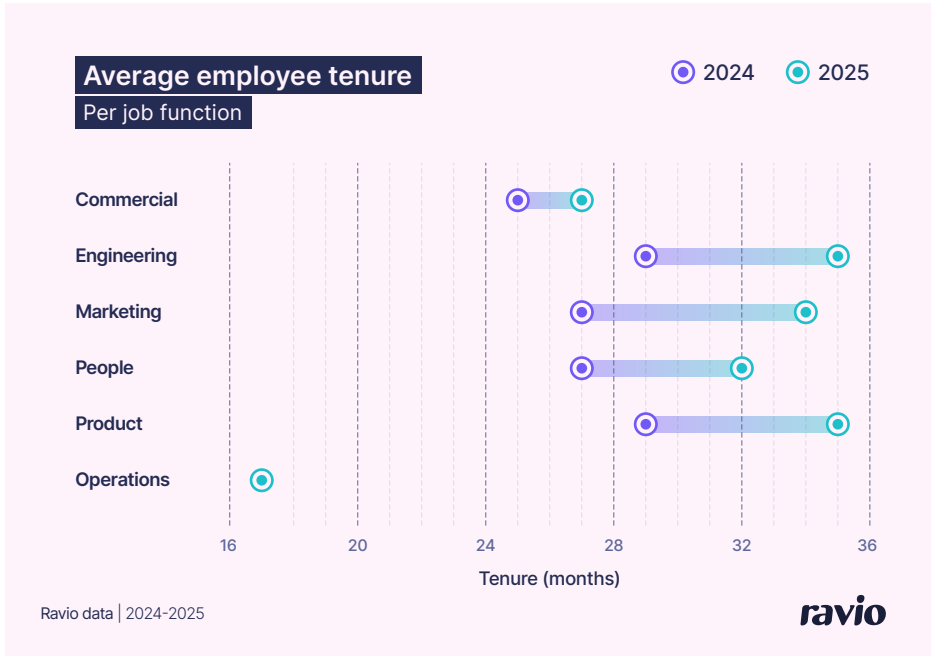
Two markets stand out as exceptions. Sweden has the longest average employee tenure at 2 years 6 months – interesting given their recent spike in attrition (+28%), suggesting this results more from recent departures rather than chronic turnover issues.

At the other end of the scale, the Netherlands has the shortest tenure at 1 year 10 months despite currently low attrition rates (14% this year, 12% last year). This suggests the Dutch market may have experienced higher turnover in previous years that continues to impact average tenure figures.

Average employee tenure has increased dramatically across most functions, with Marketing showing the largest jump at 27% to reach 2 years 10 months, but People, Engineering, and Product all showing similarly substantial increases.

These 20%+ increases in just one year (coupled as well with the...

improved attrition rates seen across these functions) demonstrate a shift in employee job mobility. The combination of uncertain job markets and post-layoff risk aversion has created an environment where employees are settling in for longer tenures across the board.



Once more, Operations stands as the clear outlier with tenure of just 1 year 5 months – less than half that of other functions, and mirroring the 34.8% surge in attrition also seen.

This again reinforces the instability in operations roles this year. Whether through automation, outsourcing, or strategic restructuring as AI transforms the more routine tasks in the role, Operations clearly represents a function in flux.

“

The shift we’re seeing in Operations is very real. As AI engineers pick up workflow automation, data handling, and even parts of customer support, the traditional Ops role is being redefined. Companies are experimenting with leaner Ops teams, and these compensation trends reflect that uncertainty.

Elena Pantazi • Talent and Portfolio Development Partner

NORTHZONE

“

Marketing’s 27% tenure increase tells an interesting story. Marketing roles are one of the first to face cuts, but also first to be rehired given revenue impact. Marketing talent learned they’re vulnerable during downturns, so they’re staying put now they have stability. Smart companies will be investing to retain these business-crucial roles while they can.”

Marie Richter • HR Consultant and Strategic Advisor



Analysis: Do market leading salaries increase employee retention?

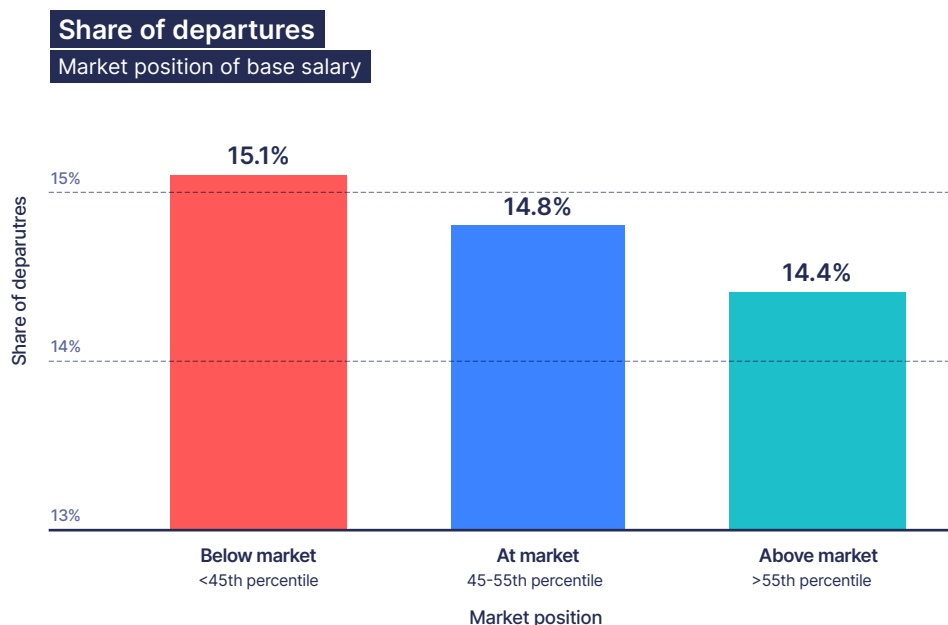
There are lots of factors that impact employee retention, but one commonly cited factor is competitive compensation.

So, to understand whether market positioning actually does impact retention, we analysed the share of employee departures across three pay groups: below market (<45th percentile), at market (45-55th percentile), and above market (>55th percentile). 'Share of departures' here refers to the proportion of all leavers compared to all employees in Ravio's database since we started tracking this data in 2022 – differing from attrition rates in the previous section which refers to the proportion of leavers in the past year only.

The headline finding? There is a statistically significant link between paying above market and employee retention.

Employees with salaries above market have the lowest share of departures at 14% of employees.

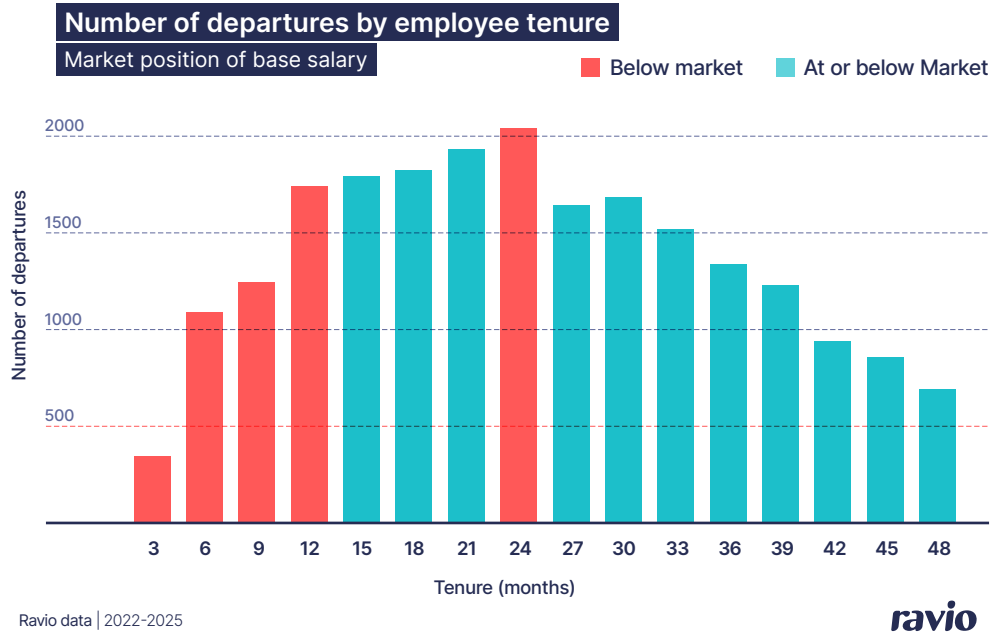
Overall, employees with above market salaries have the lowest share of departures (14%), and employees with below market salaries have the highest share of departures (15%). So, we can conclude that market leading salaries do seem to incentivise employees to stay in-role for longer.



Ravio data | 2022-2025

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If we look at departure timing, we can also see that employees who leave their roles early (0-12 months) are predominantly paid below the 45th percentile, suggesting that below-market pay presents immediate retention risk for new hires. The spike at 24 months likely reflects the end of 2-year temporary contracts.



The business areas where market positioning matters the most

This overall finding can mask the nuances beneath. For instance, when we break down the analysis by career track, we can see clear differences – the pattern of market competitive salaries aligning with higher termination share isn't consistent across all career tracks.

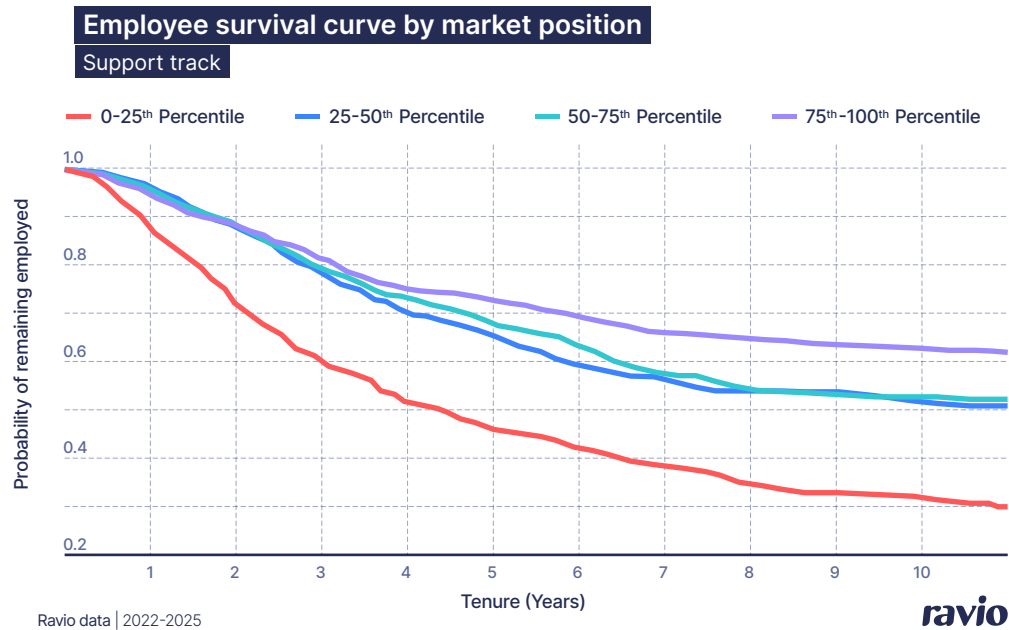
For the Support career track, survival analysis (modelling the probability of an employee remaining at a company over time) shows particularly significant differences between employees paid below, at, and above market.

For instance, if we look at employees who reach 4 years of tenure, we can see that those paid in the bottom quartile have only a ~55% probability of reaching that tenure, compared to ~75% for those in the top quartile.

In the Professional career track, the same pattern exists for early career professionals (P1 and P2), with below market salaries leading to shorter tenures.

However, the relationship disappears at more senior levels, with no difference in retention rates across pay quartiles for P3 and beyond, or for the Management career track as a whole.

Perhaps other factors, like equity compensation, career progression opportunities, or strategic influence, matter more than base salary positioning for senior talent.



What this means for your compensation strategy

Competitive pay is a powerful retention lever, and can dramatically reduce turnover for most employees – particularly support functions and early career positions. The ROI is clear when you consider the cost of replacing employees who leave because they're paid below market.

However, throwing money at retention won't work everywhere. We've seen that the Management track, for instance, shows little sensitivity to base pay positioning, with other factors mattering more for senior leaders.

“Every company should identify their own business-critical roles and pay them at P60 or P75. The days of paying everyone at median are over – that's a recipe for losing your key talent. Whether it's engineering at a tech startup or operations at a logistics company, invest in the roles that drive your success.”

Evert Kraav • Senior Compensation Manager at Bolt and Co-founder of Cohorts

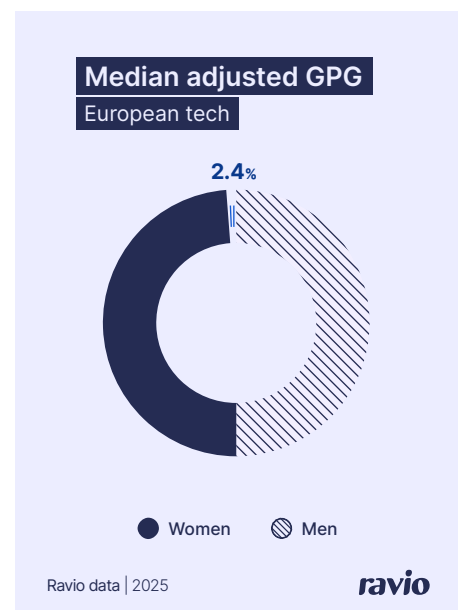
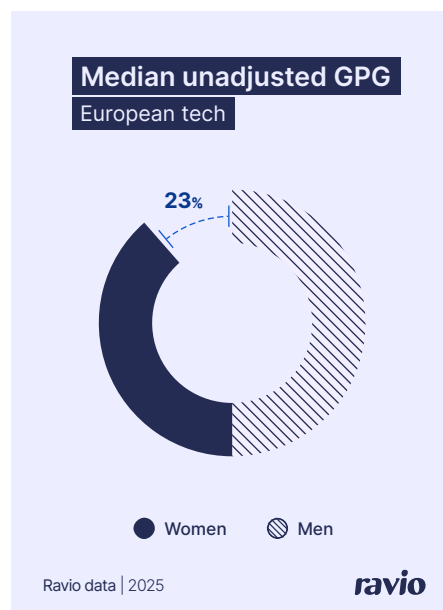
COHORTS

Pay equity

Gender pay gap

The unadjusted gender pay gap (raw comparison of salaries by gender) across European tech stands at 23% this year, and the adjusted gender pay gap (like-for-like comparison accounting for factors like job level) is 2.4%.

The persistent gap between unadjusted and adjusted figures reinforces that representation remains the core challenge: women are underrepresented in senior, higher-paying positions rather than being systematically paid less for identical roles, and it's this structural imbalance that drives the larger unadjusted gap.



“Efficiency and profitability are still dominating the executive agenda, and whilst HR teams know they need to prioritise pay transparency, they’re also waiting to see how their countries will translate the EU Directive into local law. But what companies should be hyper-conscious of is that the next compensation review (likely Q1 2026 for most) will be their last chance to fix pay gaps through the normal cycle before transparency requirements come into effect.”

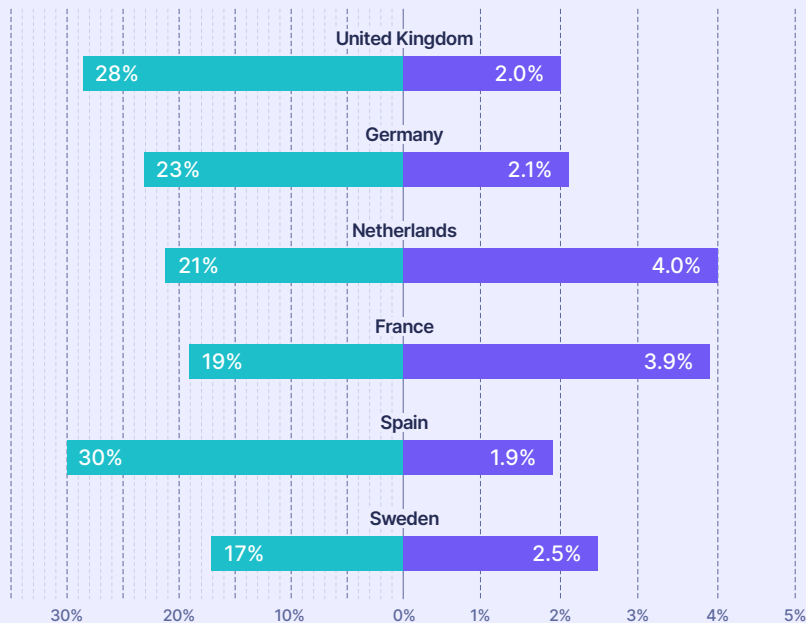
Evert Kraav • Senior Compensation Manager at Bolt and Co-founder of Cohorts

COHORTS

Median gender pay gap

Per location

Unadjusted Adjusted



Ravio data | 2025

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Looking across locations, the UK and Spain have the highest unadjusted gender pay gaps at 28% and 30% respectively. However, both countries are actually on the lower end for adjusted gender pay gaps (2.0% and 1.9%), indicating that the absolute pay gap may be driven by factors like differing employment rates or fewer women in senior roles, rather than outright discrimination for equal work.

On the other end of the scale, the Netherlands (21%) and France (19%) have much lower unadjusted gender pay gaps, but higher adjusted gender pay gaps (4.0% and 3.9% respectively) – suggesting there may be greater bias in how compensation decisions are made.

Representation of women in leadership

The representation of women in the workforce – and especially at senior levels – is one of the key drivers of the gender pay gap in European tech ([Ravio pay equity report, 2024](#)).

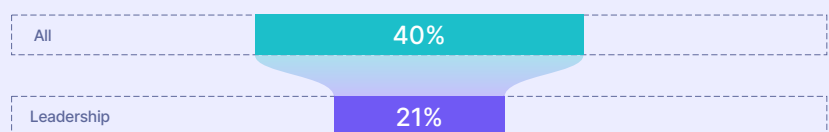
Overall women make up 40% of the tech workforce.

In terms of women in leadership positions, women hold just 21% of executive roles in European tech, with 79% of leadership positions held by men.

Women in tech

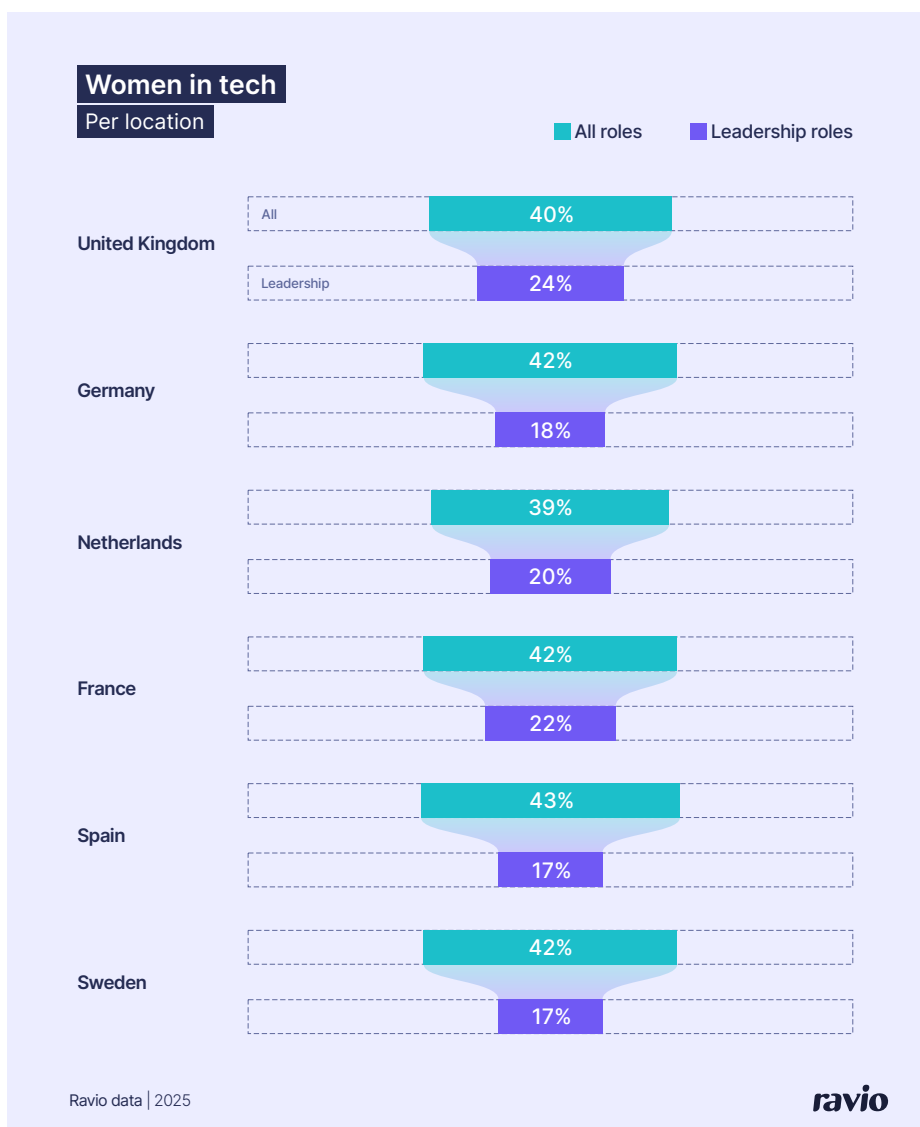
European tech

All roles Leadership roles



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The overall representation of women in tech is fairly consistent across European markets, ranging from 39% in the Netherlands to 43% in Spain.

However, there's more variance in the representation of women in leadership.

The UK is the highest across Europe with 24% women in leadership (though still, of course, a small proportion of female leaders). Spain and Sweden tie for the lowest with just 17% of senior leaders identifying as women.

The variation in women's leadership representation across markets – ranging from 17% to 24% – suggests significant room for improvement across all European tech hubs, particularly as companies prepare for the EU Pay Transparency Directive next year.

Sweden presents a particularly interesting case. Despite its progressive reputation, Sweden has just 17% women in leadership – well below the European average and tied for lowest in Europe. This could indicate that Swedish tech companies achieved modest female representation decades ago and then stopped pushing due to their progressive reputation. This may be compounded as Sweden's position in the global tech ecosystem matures, with companies like Spotify and Klarna competing internationally for talent in global tech's unequal talent pools.

“I’m seeing companies publishing their data and checking the compliance box, but not addressing root causes. Transparency alone doesn’t fix systematic pay equity issues – it’s the promotion patterns, role levelling inconsistencies, negotiation biases, and so on that we need to look deeper into.”

Matt McFarlane • Director at FNDN



Methodology and definition guide

About the dataset

All data included in this report is drawn from Ravio's compensation dataset – real-time total compensation data points drawn directly from the HR systems of 1,500+ global companies.

The data for this report is correct as of Q3 2025. All data has been anonymised, and has been standardised (i.e. made comparable) by using the Ravio job levelling framework.

Salary data and analyses have been performed on base salaries only, i.e. excluding variable compensation and equity.

Ravio uses GBP as the standard currency so all salary data is shown in GBP, with other currencies converted to GBP using the exchange rate as of the end of Q3 2025. Salary trend analyses are performed on a constant-currency basis. Other currencies can be found in the Ravio platform.

Definitions

- **Hiring rate** refers to the percentage of new hires in the workforce in the last 12 months (October 2024 to October 2025), compared to the average headcount in that year.
- **Attrition rate** refers to the percentage of the workforce that have left their employers in the last 12 months (October 2024 to October 2025).
- **Share of departures** refers to all employee leavers that have taken place since the launch of Ravio's database, differing from attrition rates which refers to terminations in the past year only.
- **Average employee tenure** refers to the median length of time an employee works for an employer.
- **Promotion rate** refers to the percentage of employees who received a pay increase of >15% (the minimum raise typically associated with a promotion) in the past 12 months (October 2024 to October 2025).
- **Salary increase** refers to any in-role pay increase, not associated with a promotion. Only employees who receive a pay increase are considered in this calculation (i.e. 0% pay increases are not counted).
- **Salary increase eligibility** refers to the percentage of employees who receive any form of salary increase (promotion or in-role) in the past 12 months (October 2024 to October 2025).
- **Promotion-based salary increase** refers to the median salary increase received by employees who received a promotion in the past 12 months (October 2024 to October 2025).
- **Unadjusted gender pay gap** refers to the raw difference in median earnings between men and women, without accounting for location, job family, or career track.
- **Adjusted gender pay gap** refers to the difference in median earnings between men and women once location, job family, and career track have been taken into account (via a regression analysis), enabling a more like-for-like comparison of equal pay for equal work between genders.

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About Ravio

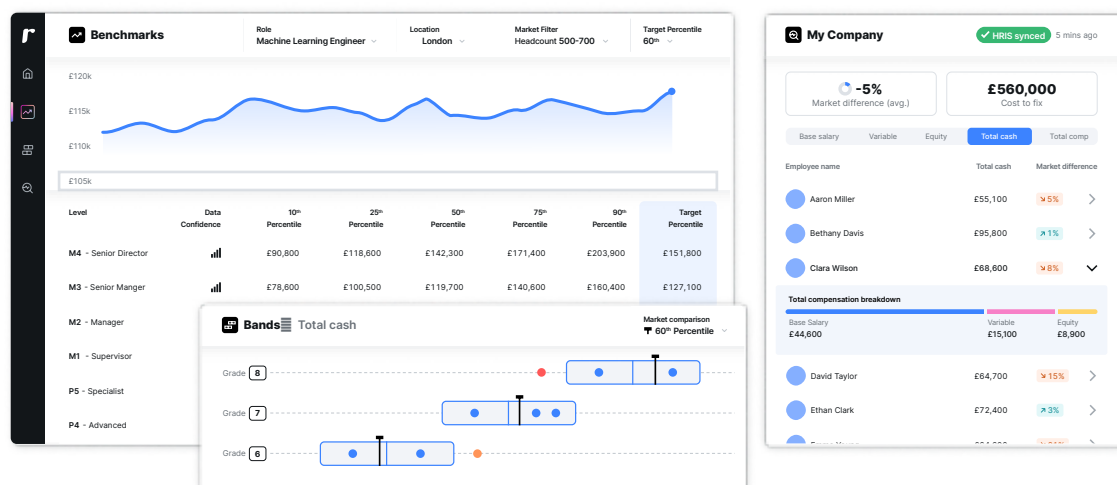
A new standard of benchmarks for confident compensation

Wrong compensation decisions cost companies millions – lost hires, wasted budgets, top talent walking out the door. All because they're navigating with a broken compass: inaccurate benchmarks. With payroll accounting for over 70% of operating costs, businesses can't afford to get compensation wrong.

That's why 1,500+ companies – such as Adyen, Wise, and Octopus Energy – trust Ravio as the new standard for compensation benchmarking.

It's not about yesterday's survey data or piecing together job postings, salary sites, and crowdsourced reports with AI. Ravio benchmarks are powered by live data pulled directly from company HR systems, which is expertly mapped and levelled by our compensation specialists, and backed by a robust methodology you can defend in any boardroom. Flexible enough to align with your strategy, but rigorous enough to stand up to scrutiny – a true quality-first benchmark.

With Ravio, you don't just get numbers – you get market intelligence that matters: real-time pay trends to win hires, insights to plan smarter, and pay positioning to keep your best people. All reflecting today's market reality, not last year's.



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